



Liberty Kenya Holdings Limited

Annual Report and Financial Statements

For the year ended 31 December **2014**

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NOTICE OF ANNUAL GENERAL MEETING

Notice is hereby given that the 10th Annual General Meeting of the members of Liberty Kenya Holdings Limited will be held on Thursday 11th June 2015, at The Sarova Stanley Hotel Nairobi, at 11.00 a.m. to transact the following business:

- To table the proxies and note the presence of a quorum.
- To read the notice convening the meeting.
- To receive, consider and if approved, adopt the Annual Report and the Audited Financial Statements for the year ended 31st December 2014, together with the Chairman's, Directors' and Auditors' Report thereon.
- To declare a dividend of Kenya Shillings forty cents (Kes 0.40/-) per share for the year ended 31st December 2014.
- To elect Directors:
In accordance with Article 111 of the Company's Articles of Association, Dr Susan Mboya-Kidero, retires by rotation and offers herself for re-election.
- To approve the Directors' remuneration for the year ended 31st December 2014 as provided in the Financial Statements.
- To note that Messrs PricewaterhouseCoopers retired from office in November 2014 and to appoint KPMG as the auditors under Section 159(2) of the Companies Act and to authorise the Directors to fix their remuneration for the ensuing year.
- Any other business of the company of which due notice has been given.

By order of the Board

Caroline Kioni
Company Secretary
P O Box 30390-00100
NAIROBI
Date: 12th May 2015

NOTE:

1. In accordance with section 136(2) of the Companies Act every member entitled to attend and vote at the above meeting and any adjournment thereof is entitled to appoint a proxy to attend and vote on his/her behalf. A proxy need not be a Member of the Company.
2. A form of proxy may be obtained from the Company's Share Registrar, Comprite Kenya Limited, Crescent Business Centre, The Crescent off Parklands Road opp. MP Shah Hospital, Nairobi, the Company's registered office, Liberty House, Processional Way/Mamlaka Road Nairobi or the Company's website www.libertykenya.co.ke. To be valid, the form of Proxy must be duly completed by the member and returned to the Share Registrar Comprite Kenya Limited, Crescent Business Centre, The Crescent off Parklands Road opp. MP Shah Hospital, Nairobi, not later than 11.00 a.m. Tuesday 9th June 2015. In the case of a body corporate the Proxy must be under its seal.

Group Information

Directors

S A Mboya	-	Chairman
M L du Toit*	-	Managing
P Gethi	-	Non-Executive
G R May**	-	Non-Executive
M Mittal**	-	Non-Executive (Alternate - S Wenman*)

*South African **British

Secretary

C Kioni (Ms)
P O Box 30390 - 00100
Nairobi

Independent Auditor

KPMG Kenya Certified Public Accountants
8th Floor, ABC Towers
Waiyaki Way
P.O.Box 40612 - 00100
Nairobi

Registered office

LR No 209/8592/2
Liberty House (Formerly CfC House)
Mamlaka Road
P.O.Box 30390, 00100
Nairobi

Subsidiaries

Liberty Life Assurance Limited
(Formerly CfC Life Assurance Limited) (100%)
The Heritage Insurance Company Kenya Limited (100%)
Azali Limited (100%)
CfC Investments Limited (100%)
The Heritage Insurance Company Tanzania Limited (60%)

Share Registrar

Lawyers

Bankers

Comprite Kenya Limited
Crescent Business Centre
Parklands
Off Parklands Road
P O Box 63428, 00619
Nairobi

Coulson Harney Advocates
5th floor, ICEA Lion Centre
Riverside Park, Chiromo Road
P.O Box 10643 - 00100
Nairobi

CfC Stanbic Bank Limited
NIC Bank Limited

Chairman's statement

As we go into the second year of our five-year financial and business target period, we can look back at 2014 as a successful year. It is my pleasure to present the annual report and financial statements for Liberty Kenya Holdings Limited ("Liberty Kenya") for the year ended 31 December 2014. Our business has never been in a better position to deliver on the promises included in our strategic plans.

Group structure

Liberty Kenya is a subsidiary of South African-based Liberty Holdings Limited, which is in turn majority owned by the Standard Bank Group, also of South Africa. Whilst Liberty Kenya is listed on the Nairobi Securities Exchange, both its immediate and ultimate majority shareholders are listed on the Johannesburg Stock Exchange in South Africa.

Liberty Kenya owns subsidiaries that engage in both short term and long term insurance business. Through its two operating entities, Liberty Life Assurance Kenya Limited (Liberty Life) and The Heritage Insurance Company Kenya Limited (Heritage), the Group continues to be a key player in the insurance sector, both in Kenya and Tanzania. The Group's interest in Tanzania is through a 60% shareholding in Heritage Insurance Company Tanzania Limited.

2014 Economic Environment and outlook for 2015

Despite setbacks, an uneven global recovery continues. Largely due to weaker-than-expected global activity in the first half of 2014, the growth forecast for the world economy has been revised downward to 3.3 percent for this year. Downside risks have increased over the latter part of the year. Short-term risks include a worsening of geopolitical tensions and a reversal of recent risk spread and volatility compression in financial markets. Medium-term risks include stagnation and low potential growth in advanced economies and a decline in potential growth in emerging markets.

On the domestic scene, the Kenyan economy remained resilient. Key growth drivers in the year included declining fuel & electricity prices, increased government spending on infrastructure, moderate credit growth as well as a stable macroeconomic environment. Growth was, however, dampened by low tourist numbers due to security lapses and the slow-down in the Euro-zone economy, Ebola threats as well as weak horticultural and tea earnings. The fourth quarter is expected to record higher growth mainly on account of lower oil and power costs, stable macros and increased infrastructure spend. The recovery of the global economy should also lead to more foreign direct investment into the country. The World Bank has projected that Kenya's economy will expand by 6% in 2015, but sluggish transmission of lower oil prices locally could reduce anticipated growth to 5.6%.

Kenya's economy was rebased in the year. This led to a revision of GDP in 2013 from USD 42.6 billion to USD 53.4 billion. Kenya's GDP was estimated to be 25 percent bigger after the authorities changed the base calculation year to 2009 from 2001, sending the East African nation into the continent's top 10 economies.

Headline inflation dropped from 6.6% to 6.02% in the fourth quarter 2014 mainly on account of lower food, power and transport prices. Headline inflation averaged 6.9% in 2014, well within the Central Bank of Kenya's upper target of 7.5%. Non-food, non-fuel inflation remained below 5% in 2014 indicating that the monetary policy was effective in containing demand driven inflation. There has also been a decline in the rate of credit growth in the economy. Global oil prices recorded a steep decline in 2014, dropping by over 50% to touch a 5 year price low. This translated into lower local pump prices. Barring a major global oil prices recovery in 2015, it is estimated that the average inflation will be in the range of 6% - 7%. With respect to interest rates, in the fourth quarter of the year, the 91 day T-Bill marginally went up from 8.3% to 8.5% while the 182 day T-Bill rose by 0.9% to 9.5%. The 364 day T-bill was stable. The Central Bank of Kenya held the Central Bank Rate unchanged, at 8.5% in 2014.

Chairman's statement (continued)

The need to support economic growth and a subdued inflationary environment supported its decision. Lower inflationary pressures and high liquidity in the domestic markets following reduced domestic borrowing by Treasury were key drivers of lower interest rates in the second half of the year. The successful issuance of the 175 Billion Eurobond supported a stable environment. The Kenya Bank's Reference Rate (KBRR) framework was introduced in the year. It is expected to improve transparency on loan pricing and promote full disclosure of bank charges on new loans. KBRR is likely to gradually reduce commercial lending rates in the long term and expand credit growth. Anchored inflation expectations and lower domestic borrowing point to continued stability. Exchange rate depreciation remains a key risk to the outlook. Government bonds recorded positive performance in 2014. The Government bond yield curve corrected downwards by an average of 0.5% across all tenors. Lower inflationary pressures, an accommodative monetary policy stance and less pressure on domestic borrowing supported a moderate downward trend. The expectation is that yields are likely to stabilize in 2015 with a bias for a slight uptick towards the end of the fiscal year. Actual tax revenues and Government spending requirements may influence the quantum of funds Treasury is to raise domestically and thereby dictate the direction of the interest rates.

The equities market held gains made during the year to post a positive performance for the third consecutive year. A positive economic outlook and stable macro-economic variables supported market performance. Sustained global appetite for risk and increased allocation by foreign funds into frontier regions sustained performance. The NASI and NSE 20 indices climbed 19.3% and 4.1% to 162.8 and 5,112.6 points at year end respectively. Market capitalization rose from Shs 1,920.7 Billion to Shs 2,300.05 Billion in 2014. Equity turnover rose by 38.51% to Shs 215 Billion from Shs 155 Billion posted in 2013. The market rally has been driven by positive investor expectations of the medium term economic growth outlook for the Kenyan and East African economies.

The Kenyan Shilling had mixed performance in 2014 against most global currencies. It depreciated by 4.8% in 2014 against the US dollar to close at Shs 90.60 and appreciated by 6.5% and 8% against the Rand and Euro respectively. The currency remains vulnerable given the global strengthening of the dollar, rising import demand especially for infrastructural related expenditures, a decline in tourism revenue and depressed tea prices and widening trade deficit. CBK is expected to remain active in Open Markets Operations to stem currency volatility. Import cover has remained above the 4 months statutory requirement in the quarter. An increase in Diaspora remittances and portfolio flows are likely to support the currency in an environment of a bearish view on shilling. Going into 2015, the Shilling is expected to maintain a bearish trend in the near term based on the current environment.

Group Financial highlights

The Group reported a profit after tax of Shs 1,149 Million for the twelve months ended December 31, 2014, which is an improvement of 4% on the previous year's Shs 1,106 Million. These satisfactory results were delivered despite volatile market conditions and the significant investment required in our branding activities and distribution networks. We also made significant progress towards our strategic targets. Among the year's highlights was the rebranding of the life insurance subsidiary from Cfc Life Assurance to Liberty Life Assurance Kenya Limited, a change that has been very well received by the our business partners.

Our core business is risk taking. Risk-taking however, requires a solid base of risk capital exactly for the moment when you have to be able to absorb large losses. Our target capital structure is designed to achieve exactly that. we maintained our underwriting discipline and decisively addressed problematic areas in our Life & Health business and took important steps to ensure our future sustainability.

Chairman's statement (continued)

The combination of our commitment to implementing global principles, discipline in underwriting standards and managing increased capital discipline continues to be key considerations in our business model. Liberty Kenya's performance in 2014 was reassuringly sound across our main business areas with good underlying momentum in areas of targeted growth and investment. Both Kenyan subsidiaries continued to show strong performance as a consequence of sound underwriting and claims management, improvements to distribution channels, introduction of differentiated products, identification of new alternative distribution channels, process re-engineering, management of costs and use of new and enhanced technology to drive improvements in service delivery and value proposition to our customers and intermediaries. Although the 2014 results were negatively affected by an increased expense base due to the investment the subsidiaries had to make in rebranding, process improvements and enhanced distribution networks, I believe that these were necessary and position the businesses well to take advantage of emerging business opportunities.

The contribution to profits from our asset base remains significant despite the challenging investment environment. We are convinced that a well-diversified asset allocation is the safest way to achieve a good risk /return profile even in those circumstances.

Key Achievements for the year under review are summarised as follows:

- Profit after tax for the year 2014 was Shs 1.15 Billion compared to Shs 1.105 Billion for 2013, a 3.9% increase.
- Gross earned premium revenue at Shs 8.0 Billion up 8.6% from Shs 7.4 Billion.
- Investment income at Shs 2.97 Billion up 12.9% from Shs 2.60 Billion.
- Net insurance benefits and claims at Shs 3.5 Billion up 12.3% from Shs 3.1 Billion.
- The Group maintained a strong statement of financial position increasing its total asset base by 6% from Shs 31.5 Billion to Shs 33.2

Billion.

- Both Liberty Life and Heritage show strong solvency levels at 1.7x and 2.9x respectively

The strengthening of the Group balance sheet over the past few years provides us with an appropriate foundation on which to transition during 2015 to a more robust capital management model that will ensure efficient utilization of capital with the consequent benefits to all our stakeholders.

Short Term Business - The Heritage Insurance Company Kenya Limited

The Group's short term business is managed in Kenya through The Heritage Insurance Company Kenya. The Company underwent significant changes on the operational side through the rolling out of a number of strategic projects, which included a strong focus on improving service levels to our intermediary network and our direct business clients. Broadly the Company's main focus in 2014 was: grow through diversification, manage the risk pool and drive system efficiencies. There is a delicate balance between growing premium income, maintaining margins and retaining clients.

This year the Company set some ambitious strategic goals, among them achieving an underwriting margin of 10%. In spite of the challenging business environment, the Company achieved a margin of 9.6% and we are confident that we shall surpass the target ratio in the coming years. As the Liberty Group expands into more African countries, this will present the Group with the ability to tap into market opportunities and growth prospects which arise.

Our challenges as an established industry player are to fight complacency, stay agile and continue improving our efficiencies to compete in an industry where new entrants can start operating in their chosen segments. Therefore, the Company has continued to focus on growth through diversification, managing the risk pool and driving system efficiencies.

Chairman's statement (continued)

While the traditional intermediated business through brokers remains the core of our Company, we are taking the necessary actions to grow business from other channels including agents, bancassurance and franchising. With respect to risk management, we continued to refine our risk management processes. On the system's front, the Company's focus is geared towards operational efficiency. This reduces claims costs, helps us deliver on our brand promise and creates benefits for our clients and intermediaries. Spending on current projects will continue in 2015 and we anticipate that the full benefits will start to accrue from the latter part of the year. These initiatives will ensure the Company remains relevant and competitive against existing and new market entrants.

The Company achieved positive underwriting results in a financial year characterised by continued pressures on premium rates. Overall profit before tax stood at Shs 702 Million (2013 – Shs 711 Million). The net profit after taxation decreased marginally from Shs. 537 Million in December last year to Shs. 514 Million this year. The decrease from last year was mainly attributed to the slight worsening in the claims experience and increased management expenses arising from the initiatives that the Company has undertaken during the year.

Premium growth continued to build on the solid performance of 2013, with gross written premium for the Company increasing by 13.5% (2013: 4.2%), from Shs 3.55 Billion to Shs 4.027 Billion. Positive growth was achieved across all significant insurance classes. With respect to underwriting margins, the Kenyan short-term insurance market is highly competitive and the relatively soft market conditions contribute to generally poor underwriting margins. The "typical" short-term insurers in Kenya have traditionally generated an average underwriting margin of between 4% and 6% through the cycles. Heritage's continued focus to optimise our claims processes and our diversified business lines ensured that the Company achieved a 9.6 % net underwriting margin in these challenging underwriting conditions.

With a slightly worsened claims ratio of 40.7% (2013: 37.6%), the Company's underwriting profit decreased from Shs 310 Million in 2013 to Shs 201 Million in 2014. The Company has put robust measures in place to manage the levels of both the claims costs and management expenses. It should however be noted that the Company's average claims ratio of 40.7% is well below the industry average of 59.7%.

Investment and other income at Shs.514.2 Million (2013:Shs. 419.3 Million) was 22.7% above the prior year. Investment income comprises interest, dividends, realised and unrealised investment gains and foreign exchange differences. The increase was partly due to higher dividend from the Company's Tanzanian subsidiary and profit realised on the disposal of Shares in an unquoted company. This disposal was motivated by the fact that the investment was not aligned to the Company's strategic and capital management objectives.

The Company paid an interim dividend of Shs 230 Million. The Board did not recommended payment of a final dividend in order to preserve capital for business growth and improvement of the robustness of the capital structure. The Company's Solvency Margin has remained well above the regulatory requirement at 2.9X. This is well within our targeted solvency range and represents a sound capital position given our economic and risk capital requirements

In June 2014 Heritage maintained its A+ (A plus) Claims paying ability Credit Rating from Global Credit Rating Company. The current outlook is stable. The rating is based on Heritage's position as an established top-tier player in the domestic insurance market, underpinned by its direct affiliation with the Liberty Group which provides operational support on an on-going basis, sound profit retention, adherence to stringent claims management protocols among other factors.

Chairman's statement (continued)

Long Term Business – Liberty Life Assurance Company Kenya Limited

The operating environment changed for the better with the Company's efforts shifting to its brand, processes and customer value proposition. The Company's focus is now on the growth initiatives. As part of these tactical growth plans, new products were introduced during the year whilst efforts to grow profitably in non-traditional market segments were intensified. In a bid to enhance its customer value proposition, the Company launched the triple payment diamond plan, a retail product as well as the unitised "Boresha Maisha" pension plan. These two products signify Liberty Life's continued responsiveness to the needs of the market.

The Company rebranded and changed its name to Liberty Life Assurance Kenya Limited in October 2014. This marked the culmination of a brand alignment exercise that started in the year 2011 and the Company will use this to reposition itself as the trusted insurance services provider in this market.

Overall, the Company registered a 40% increase in net profit, from Shs. 416.5 Million in 2013 to Shs 584.8. Million in 2014. This was mainly driven by good premium volumes and close management of expenses.

Total premiums at Shs. 4.4 Billion were 4.7% above prior year. New business at Shs. 685 Million was 26% above prior year. Group Life business recorded the highest growth compared to pensions and retail business. Management continues to monitor execution of the pension's strategy in the New Year with focus on retaining the existing book and growing the new unitized pension product.

The Company made a net investment income of Shs 2.3 Billion, 10% rise compared to similar period last year. The increase is mainly attributed to an increase in fair value gains of Shs 122 Million over prior year and dividend income increase of

Shs 70 Million over prior year as a result of the increase in the equity portfolio.

Policy holder benefits at Shs 4.65 Billion, was 3.9% above prior year. These benefits comprise benefits payable in the year (incurred Claims, surrenders, maturities) as well as actuarial provisions (Funds set aside to secure future policy holder obligations). Actuarial provisions amounted to 42% of the total while the rest was incurred claims. The overall policy holder benefits incurred ratio was 63%, an improvement over the prior year ratio of 67%.

Management and commission expenses for the period to 31 December 2014 stood at Shs 1.32 Billion against prior year's Shs 1.11Billion. The key driver to the increase compared to prior year was one off costs arising from the rebranding exercise.

Total assets grew to Shs 22.8 Billion from Shs 18.1 Billion in 2013, attributed to the increase in the value of our invested assets. Shareholders' funds have grown by 26% in 2014 compared to 2013 to hit Shs 1.92 Billion. The growth has resulted from retained earnings.

Given the relatively good performance the statutory solvency position for the Company improved in 2014 to a multiple of 1.73 times the minimum specified by the Insurance Act. The Company's strong solvency position gives comfort to our existing and potential customers that we are adequately capitalized to weather reasonable market volatility.

Chairman's statement (continued)**Business Performance in Tanzania - Heritage Insurance Company Tanzania Limited**

Competition in the Tanzanian market continues to intensify as more players set up operations in the country. In spite of this, our subsidiary in Tanzania has remained focused in ensuring that sound underwriting practices are maintained. Consequently it is one of the few companies in the market that consistently reports an underwriting profit.

The Company reported a profit before tax of TShs 3,401 Million compared to Shs 1,690 Million in 2013. The underwriting surplus increased by 142% from TShs 419 Million in 2013 to TShs 1,014 Million in 2014 mainly driven by a good loss ratio and improved management of expenses.

Premiums written during the year decreased by 10% compared to 2013 -TShs 41.4 Billion compared to TShs 45.9 Billion written in 2013. Whilst the Company did not lose any significant accounts, the decrease was mainly attributed to huge reductions in the premium charged on some big accounts due to reductions in sums assured. The Company's strategic action to protect the treaty results implies that the Company has to be selective in underwriting policies and hence the decline in premium for some classes of business, particularly fire, accident & marine.

The net loss ratio was at 46%, a significant improvement to the ratio recorded in 2013 of 52%. On the other hand the net commission expense was at TShs 1,685 Million, up by TShs 764 Million compared to the same period in 2013. This was mainly due to lower reinsurance commission in the fire class of business. Expenses are down by 1% compared to the same period in 2013 mainly due to robust monitoring.

Investment returns comprise interest & dividend income of TShs 2,169 Million, revaluation gain of TShs 2,108 Million and loss on disposal of shares in an associate, Strategis Insurance Company Tanzania Limited - TShs 1,387 Million. This represents an overall increase of 20% compared to last year excluding the capital loss

and revaluation gains. For strategic reasons, the Company sold its shareholding in an associate, Strategis Insurance Company Tanzania Limited during the course of the year.

The Company's Solvency Margin at 59% was well above the regulatory requirement of 20% and the margin as at 31 December 2013 of 55%.

The Company's focus in the year 2015 will mainly be to strengthen its distribution networks and improve systems and processes.

Compliance & Governance

The Board embraces good governance as a driver of culture and outperformance in the long term. There is increased focus by the Group on strengthening the various governance structures, treating customers fairly, ethical values, and strong capital and risk management. Compliance with best practice and regulatory requirements is enshrined within our value and governance structures in all the subsidiaries. The following are our key regulators:

- The Insurance Regulatory Authority of Kenya
- – the primary regulator of insurance businesses in Kenya
- The Retirement Benefits Authority (Kenya)
- The Tanzanian Insurance Regulatory Authority – the primary regulator of insurance businesses in Tanzania
- The Capital Markets Authority (Kenya).
- The Nairobi Securities Exchange.

We have cordial relationships with all our key regulators as well as the respective revenue authorities. This is founded on our endeavor to strictly comply with the guidelines of our industry and regular open communication.

Chairman's statement (continued)

Directorate

It is critical to all we do that we have the breadth and depth of experience on the Board necessary to provide effective governance and deal with challenges in the business environment.

I am hugely encouraged by the quality of individuals we are able to identify and attract. As we continue to refresh the Board to take account of any available vacancy, we shall seek to add skills and experience complementary to those already on the Board in order to strengthen the range of oversight competences within the Board.

Human resources

These results are a reflection of a committed team of staff who believe that in delivering value to our broad range of stakeholders, we will continue to build on the legacy of our Group. We shall continue to raise the skills of our human capital, to empower them and to improve service standards across the Group. The Group's total staff complement as at 31 December 2014 was 366 compared to 372 in 2013.

Outlook

The year ahead is bound to be equally challenging but the Group is very well placed. In an increasingly global and interconnected environment, we are well positioned to capture opportunities the market offers. We are equally well positioned to rise to meet challenges including the more over-arching challenges of premium undercutting and the insurance penetration gap. Our differentiated position, our strong capitalisation, our disciplined underwriting and, last but far from least, our strong client relationships are all the foundation of Liberty Kenya's profitability. They are the key to our sustainability. During the first year of its 5-year strategic plan, the Group has put the structures in place to be able to deliver on the ambitious targets set for all its operating entities. We have made good progress in many areas. In particular, the Group expects to increase its retail

sales volumes by tapping into new markets by offering superior services whilst increasing its brand presence in selected Counties. Though primary growth will be realised organically, the Group is actively pursuing viable acquisition leads as a complementary expansion strategy. This notwithstanding, the customer remains central to Liberty Kenya's customer value proposition - thus enhancing customer experience will remain focal in 2015. Management will expand premium collection through alternative distribution channels, leveraging on mobile technology platforms, product innovation as well as research and development. In addition to increasing the agency reach and deepening our relationship with the broker fraternity, partnerships with the banking sector especially will grow the Bancassurance book which remains very strategic in light of the high penetration levels achieved by the banking sector.

We are also seeking higher returns from our investment portfolio - without compromising investment discipline. We shall continuously review the investment mandates to ensure that the Group takes advantage of the robust investment climate expected to continue in 2015.

The Board of directors and I would like to thank all our employees for giving us the confidence to meet the numerous opportunities and challenges with optimism in 2015.

Dividend

The Directors propose a first and final dividend per share of Shs 0.40 (2013:Shs1).

Chairman's statement (continued)

Appreciation

I take this opportunity to express my sincere appreciation to our customers, shareholders, the Government and Regulators, suppliers and fellow board members for their dedicated contribution to the growth of the Group. All the achievements the Group has made would not be possible if we didn't have the right talent and employees. Please join me in thanking them for their hard work, great engagement and strong 2014 results. Our people are the reason we have a seat at the table with our clients, brokers and business partners. They are also the force for delivering shareholders value.

delivering shareholder value.

A handwritten signature in black ink, appearing to read 'S Mboya', with a stylized flourish at the end.

S Mboya

Chairman
8 April 2015

The Board of Directors



From left to right

Mike Du Toit | Peter Gethi | Dr Susan Mboya | Gayling May
Carol Kioni (Company secretary) | Mukesh Mital

Biographies of the Board of Directors

Susan Mboya

Dr Susan Mboya is the Chairman of the Company and the Group Director, Eurasia, Africa Group (EAG) for Women's Economic Empowerment at Coca Cola. In this role, Susan is leading the Group's deployment of an initiative undertaken by the Coca-Cola Company from September 2010 to empower five million women entrepreneurs across the Coca-Cola System by 2020.

In May 2009, Dr Mboya was awarded a honorary Doctorate in Humanities from Lakeland College in Wisconsin, for her work on the Zawadi Africa Educational Fund. In December 2010 she was awarded the Elder of the Burning Spear (EBS), the highest civilian award from the Kenya Government in recognition of her dedication and service to the Country's youth through the Zawadi Africa Educational Fund. She Joined Liberty Kenya Board in 2012 and was appointed chairman on 29 November 2012.

Mike du Toit

Mr. Mike du Toit is the Company's Managing Director and Liberty Africa Regional Managing Director for East Africa responsible primarily for strategic growth initiatives. He joined Liberty in 2010. Prior to this he was Managing Director of CfC Stanbic Bank Limited having led the merger of the Stanbic and CfC Groups.

As a career banker, he has extensive experience in the financial services field across sub-Sahara Africa having worked and lived in, amongst others Botswana, Mozambique, South Africa and Uganda.

He also sits on the Boards of Heritage Insurance Company Kenya Limited, Liberty Life Assurance Kenya Limited, The Heritage Insurance Company Tanzania Limited, Liberty Life Assurance Uganda Limited and both STANLIB Kenya Limited and STANLIB Uganda Limited.

Gayling May

Mr. Gayling R. May, who was appointed to the Board in December 2009, has an extensive accounting background having worked for PricewaterhouseCoopers in various countries for 37 years. He is a Fellow of The Institute of Chartered Accounts in England and Wales (FCA), a member of the Institute of Certified Public Accountants of Kenya (CPA) and a member of the Institute of Certified Public Secretaries of Kenya (CPS). He holds directorships in Swissport Kenya Limited, British American Tobacco Kenya Limited, Liberty Life Assurance Company Kenya Limited, Heritage Insurance Company Kenya Limited, Liberty Kenya Holdings Limited, CfC Stanbic Bank Limited and CfC Stanbic Holdings Limited.

He is currently the Regional Representative of the Eastern Africa Association, a business information service based in Nairobi, and active throughout East Africa.

Mukesh Mittal

Mr. Mukesh Mittal is Liberty Group Chief Executive Business Development Cluster. He holds a BSc (Hons) (Imperial London), FIA.

Mukesh has significant international insurance experience having held the position of Group Chief Actuary at Old Mutual plc (London) and leading Old Mutual's strategy and business development for the Asia Pacific region, Deputy Group Chief Actuary of Allianz (SE) and a director of PricewaterhouseCoopers UK. Mukesh also served on the board for Actuarial Standards in the UK. He joined the board on 28 March 2012.

Peter Gethi

Mr Peter Gethi was appointed to the Board on 17 December 2009. He holds a BSc (Hons) degree in Agriculture Economics and has expansive managerial experience in Agriculture Business Management. He has been a General Manager with Kilimanjaro Plantations Limited (TZ) and Senior Group Manager with SCEM Limited (formally Standard Chartered Estate Management). He currently works both as an Agricultural Consultant and is involved with Real Estate Development as Managing Director of Nebange Ltd.

He is also the Chairman of Heritage Insurance Company Kenya Limited and Liberty Life Assurance Company Kenya Limited and a director of The Heritage Insurance Company Tanzania Ltd, CfC Stanbic Holdings Limited and CfC Stanbic Bank Limited. He serves on the Audit and Risk Committees of Liberty Kenya Holdings Limited, and Heritage Insurance Company Tanzania Limited.

Corporate Governance report

Introduction

The Directors are committed to the principles of good governance and appreciate the importance of governing the business with integrity and accountability to all the stakeholders. The Board prescribes to the Commonwealth Association of Corporate Governance principles and has adopted the recommended guidelines and associated principles of best practice.

Through its subsidiaries Liberty Life Assurance Company Kenya Limited, Heritage Insurance Company Kenya Limited and CfC Investments Limited, the Board of Liberty Kenya Holdings Limited follows principles of openness, integrity and accountability in its stewardship of the organisation's affairs. It recognises the dynamic nature of corporate governance and continuously assesses the Group's compliance with generally accepted corporate practices on a regular basis. The role of the Board is to ensure conformance by focusing on and providing the Group's overall strategic direction and policy-making as well as performance review through accountability and ensuring appropriate

monitoring and supervision.

The Board is responsible for maintaining a system of internal control and for reviewing its effectiveness regularly to ensure that the assets of the Group are safeguarded while maintaining a reliable system of managing financial information, so that the Group's objectives of increased growth in profitability and shareholder value are realised.

Board of Directors

The Board of Directors consists of one executive Director and four non-executive directors who have been chosen for their business acumen and wide range of skills and experience. During the year three meetings were held and the attendance by the Directors was as follows:

Director	9 April 2014	21 May 2014	4 December 2014
Dr. S A Mboya	√	√	√
Mr. G R May	√	√	√
Mr. P Gethi	√	√	√
Mr. M Mittal	√	√	√
Mr. M L du Toit	√	√	√

√: Attended

Corporate Governance report (continued)

The Board is responsible for setting the direction of the Group through the establishment of strategic objectives, key policies and decision making process to achieve the objectives of the organisation. It monitors the implementation of strategies and policies through a structured approach to reporting by executive management and consequent accountability against approved strategic approaches

Board Committees

The Group is headed by the Board of Directors, which has ultimate responsibility for the management and strategic guidance and assumes the primary responsibility of fostering the sustainability of the Group's business. The Board has the overall responsibility for establishing and oversight of Group's risk management framework. The performance against financial and corporate governance objectives is monitored by the Board through managements' quarterly reporting.

The implementation of the Group's strategic objectives is done at the individual subsidiary companies, through various established Board and management committees including Audit and Risk Committees ('ARC') and Investment committees.

The Company's ARC meets at least twice a year in accordance with the half yearly financial reporting period adopted by the Group. Attendance during the year is shown below:

Director	4 April 2014	21 August 2014
Mr. G R May	√	√
Mr. P Gethi	√	√
Mr. M Mittal	√	√

√: Attended

The Company also has a Directors' Affairs Committee comprising the Chairman of the Board, and two Directors, one of whom is Non-Executive. The mandate of this Committee includes ensuring the effectiveness of the Group's governance structures.

Board effectiveness and evaluation

The Board is focused on continued improvements in its effectiveness and corporate governance performance.

Sustainability

Social and environmental responsibility remains an important part of Liberty Kenya Holding Group culture. The monitoring and reporting of sustainability issues is still an evolving discipline within the organisation. However the Board, through its subsidiaries, is conscious of the fact that as a Group its sustainability and success is dependent upon the environment and the community within which the group operates. Through our subsidiaries it is our policy to ensure that our activities meet the social, economic and environmental expectations of all our stakeholders.

Corporate Governance report (continued)

Social responsibility

As a Kenyan business, the Group understands the challenges and benefits of doing business in Kenya, and owes its existence to the people and societies within which it operates. The Group is committed therefore not only to the promotion of the economic development but also to the strengthening of civil society and human well-being. The Group concentrates its social investment expenditure in defined focus areas in order to make the greatest impact. These areas of focus are subject to annual revision as the country's social-economic needs change. The Group focus is mainly in the area of education and health with a long term view of sustaining the projects at hand.

Going Concern

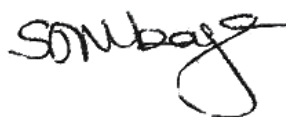
The Board has reviewed the facts and assumptions, on which it relied and, based on these, will continue to view the Group as a going concern for the foreseeable future.

Remuneration

Liberty Kenya Holdings Limited has a clear policy on remuneration of executive and non-executive directors at levels that are fair and reasonable in a competitive market for the skills, knowledge, experience required, nature and size of the Board.

The non-executive Directors remuneration is reviewed periodically by the Directors' Affairs Committee.

The amounts paid to directors are included in note 32 which represents the total remuneration paid to executive and non-executive directors for the year under review.



S A Mboya
Chairman



M L du Toit
Managing Director

8 April 2015

Directors' report

The directors submit their report together with the audited financial statements for the year ended 31 December 2014, in accordance with Section 157 of the Kenyan Companies Act, which disclose the state of affairs of Liberty Kenya Holdings Limited and its subsidiaries (together the "Group") and of Liberty Kenya Holdings Limited (the "Company").

Principal activities

The Group is engaged in the business of insurance and wealth management through its subsidiaries namely Liberty Life Assurance Kenya Limited and the Heritage Insurance Company Kenya Limited. The Group underwrites classes of long term and general insurance as defined in the Kenyan Insurance Act with the exception of bonds investments. It also issues investment contracts to provide customers with asset management solutions for their savings and retirement needs.

Results and dividend

Profit for the year ended 31 December 2014 of Shs 1,148,985,000 (2013: Shs 1,105,920,000) has been added to retained earnings.

The Directors recommend a dividend per share of Shs 0.40 (2013: Shs 1).

Directors

The names of the directors who held office during the year and to the date of this report are set out on page 3.

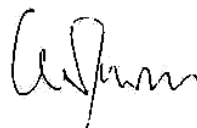
Auditor

KPMG Kenya were appointed auditors during the year to fill a casual vacancy following the resignation of Pricewaterhousecoopers and have indicated their willingness to continue in office in accordance with section 159 (2) of the companies Act.

Approval of Financial Statements

The financial statements were approved and authorised for issue by the Board of directors on 8 April 2015.

By order of the Board



C. Kioni

8 April 2015

Statement of directors' responsibilities

The Directors are responsible for the preparation and presentation of the financial statements of Liberty Kenya Holdings Limited set out on pages 24 to 101 which comprise the statements of financial position of the Group and the Company as at 31 December 2014, the Group's and Company statement of profit or loss, statement of other comprehensive income, Group's and Company statement of changes in equity and the Group's and Company statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

The Directors' responsibilities include: determining that the basis of accounting described in Note 2 is an acceptable basis for preparing and presenting the financial statements in the circumstances, preparation and presentation of financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Under the Kenyan Companies Act, the Directors are required to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the Group and the Company as at the end of the financial year and of the operating results of the Group and company for that year. It also requires the Directors to ensure the Group keeps proper accounting records which disclose with reasonable accuracy the financial position of the Group and the Company.

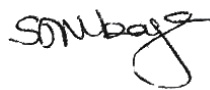
The Directors accept responsibility for the financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The Directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the Group and the Company and of the Group and the Company operating results.

The Directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

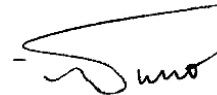
The Directors have made an assessment of the Group and the Company's ability to continue as a going concern and have no reason to believe the Group and the Company will not be a going concern for at least the next twelve months from the date of this statement.

Approval of the financial statements

The financial statements, as indicated above, were approved by the Board of Directors on 8 April 2015 and were signed on its behalf by:



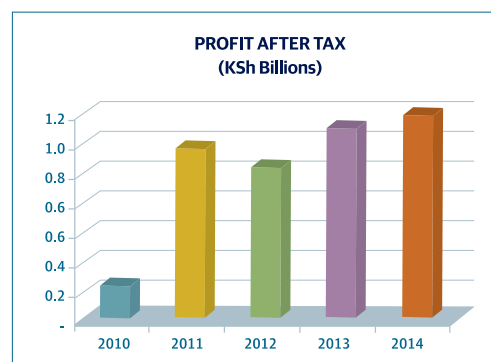
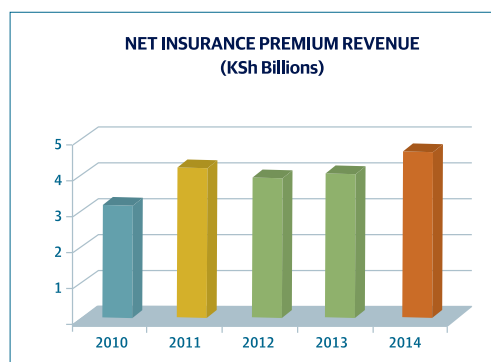
S A Mboya
Chairman



M L du Toit
Managing Director

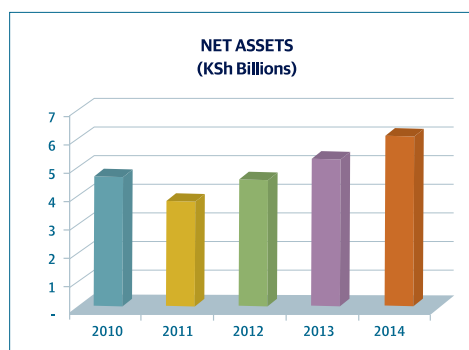
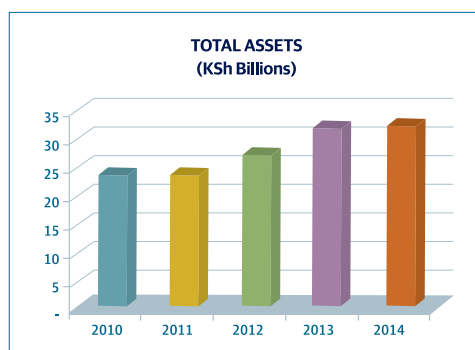
Financial highlights – Five year consolidated statement of profit or loss

	31 December 2010 Shs'000	31 December 2011 Shs'000	31 December 2012 Shs'000	31 December 2013 Shs'000	31 December 2014 Shs'000
Net insurance premium revenue	3,531,909	4,237,933	3,982,386	4,067,128	4,692,485
Investment and other income	1,842,744	2,195,322	4,067,013	3,311,482	3,610,067
Total income	5,374,653	6,433,255	8,049,399	7,378,610	8,302,552
Net insurance benefits and claims	(2,714,472)	(2,482,494)	(3,761,475)	(3,076,841)	(3,456,461)
Operating expenses and commissions	(2,214,028)	(2,940,927)	(3,137,549)	(2,995,520)	(3,509,440)
Result of operating activities	446,153	1,009,834	1,150,375	1,306,249	1,336,651
Earnings from associates	36,782	2,381	23,704	(7,387)	9,918
Profit before income tax	482,935	1,012,215	1,174,079	1,298,862	1,346,569
Income tax expense	(222,921)	(61,797)	(316,230)	(192,942)	(197,584)
Profit for the year	260,014	950,418	857,849	1,105,920	1,148,985
Costs to income	41%	46%	39%	41%	42%
Earnings per share (Shs)	0.50	1.84	1.66	2.15	2.14



Financial highlights – Five year consolidated financial position

	31 December 2010 Shs'000	31 December 2011 Shs'000	31 December 2012 Shs'000	31 December 2013 Shs'000	31 December 2014 Shs'000
Total equity	4,676,659	3,865,638	4,554,231	5,464,882	6,157,189
Assets					
Property, equipment and intangible assets	1,260,013	1,176,517	1,165,093	1,136,877	1,100,816
Investment property	545,000	623,553	710,449	842,200	936,000
Goodwill	1,254,995	1,254,995	1,254,995	1,254,995	1,254,995
Investment in associates	313,180	355,400	61,948	70,041	-
Financial investments	15,084,710	13,956,773	14,083,814	15,949,076	19,098,156
Other assets	2,539,229	3,636,393	4,062,108	5,746,018	4,552,324
Cash and cash equivalents	2,830,202	2,892,146	6,033,693	6,452,983	6,251,762
Total assets	23,827,329	23,895,777	27,372,100	31,452,190	33,194,053
Liabilities					
Insurance contract liabilities	6,027,195	6,239,993	7,523,118	10,320,927	9,720,729
Deposit administration liabilities	8,703,273	9,300,122	10,465,499	11,103,757	12,047,554
Other liabilities	3,811,391	3,985,403	4,349,456	4,562,624	5,268,581
Borrowings and bank overdraft	608,811	504,621	479,796	-	-
Profit before income tax	19,150,670	20,030,139	22,817,869	25,987,308	27,036,864
Profit for the year	4,676,659	3,865,638	4,554,231	5,464,882	6,157,189



Report of the Independent Auditor to the Members of Liberty Kenya Holdings Limited

We have audited the Group financial statements of Liberty Kenya Holdings Limited set out on pages 24 to 101 which comprise the statements of financial position of the Group and the Company as at 31 December 2014, the Group and Company's statements of profit or loss, statement of other comprehensive income, Group and Company's statement of changes in equity and the Group and company's statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Directors' responsibility for the financial statements

As stated on page 18, the Company's Directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards, and in the manner required by the Companies Act of Kenya, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with relevant ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement,

including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the Group and Company financial position of Liberty Kenya Holdings Limited at 31 December 2014, and the Group and Company financial performance and the Group and Company cash flows for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

Report on other legal requirements

As required by the Kenyan Companies Act we report to you, based on our audit, that:

- We have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purpose of our audit;
- In our opinion, proper books of account have been kept by the Company, so far as appears from our examination of those books; and
- The Company's statement of financial position, statement of profit or loss and statement of other comprehensive income are in agreement with the books of account.

The Engagement Partner responsible for the audit resulting in this independent auditors' report is CPA Jacob Gathecha - P/1610.



KPMG Kenya
Certified Public Accountants
8th floor ABC place waiyaki way
P o Box 40612 - 00100
NAIROBI

8 April 2015

Consolidated and Company statement of profit or loss

	Notes	Group		Company	
		31 December 2014 Shs'000	31 December 2013 Shs'000	31 December 2014 Shs'000	31 December 2014 Shs'000
Gross earned premium revenue	6	8,036,914	7,397,982	-	-
Less: Outward reinsurance		(3,344,429)	(3,330,854)	-	-
Net insurance premium revenue		4,692,485	4,067,128	-	-
Commissions earned		668,577	657,492	-	-
Investment income	7	2,968,254	2,629,519	230,000	200,000
Administration fees		13,764	15,897	-	-
Other income	8	(40,528)	8,574	-	-
		3,610,067	3,311,482	230,000	200,000
Total income		8,302,552	7,378,610	230,000	200,000
Claims and policyholder benefits payable	9	(2,450,981)	(8,088,006)	-	-
Change in insurance contract liabilities		(882,325)	(490,432)	-	-
Amounts recoverable from reinsurers		(123,155)	5,501,597	-	-
Net insurance benefits and claims		(3,456,461)	(3,076,841)	-	-
Commissions payable		(921,303)	(833,885)	-	-
Finance costs	10	-	(25,512)	-	(25,512)
Other operating expenses	11	(2,588,137)	(2,136,123)	(60,608)	(18,886)
Total expenses and commissions		(3,509,440)	(2,995,520)	(60,608)	(44,398)
Result of operating activities		1,336,651	1,306,249	169,392	155,602
Earnings from associates	13	9,918	(7,387)	-	-
Profit before income tax		1,346,569	1,298,862	169,392	155,602
Income tax expense	14	(197,584)	(192,942)	-	-
Profit for the year		1,148,985	1,105,920	169,392	155,602
Attributable to :					
Owners of the parent		1,069,964	1,024,907	169,392	155,602
Non-controlling interests		79,021	81,013	-	-
		1,148,985	1,105,920	169,392	155,602
Basic and diluted earnings per share (Shs)	15	2.14	2.15	0.32	0.30

The notes set out on pages 31 to 101 form an integral part of these financial statements.

Consolidated and Company statement of other comprehensive income

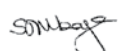
	Group		Company	
	31 December 2014 Shs'000	31 December 2013 Shs'000	31 December 2014 Shs'000	31 December 2013 Shs'000
Profit for the year	1,148,985	1,105,920	169,392	155,602
Other comprehensive (loss)/income for the year net of tax	(200,764)	32,011	-	-
Items that can be re-classified into profit or loss:				
Foreign currency translation differences	(22,508)	5,229	-	-
Items that cannot be re-classified into profit or loss:				
Recognition of deferred income tax on revaluation	(186,256)	(11,478)	-	-
Gain on revaluation of land and buildings	8,000	38,260	-	-
Total comprehensive income for the year	948,221	1,137,931	169,392	155,602
Total comprehensive income attributable to:				
Equity holders of parent	880,158	1,056,918	169,392	155,602
Non-controlling interests	68,063	81,013	-	-
Total comprehensive income for the year	948,221	1,137,931	169,392	155,602

The notes set out on pages 31 to 101 form an integral part of these financial statements.

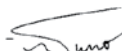
Consolidated and Company statement financial position

	Notes	Group		Company	
		31 December 2014 Shs'000	31 December 2013 Shs'000	31 December 2014 Shs'000	31 December 2013 Shs'000
Ordinary share capital	16	535,707	515,270	535,707	515,270
Share premium	16	1,490,480	1,185,969	1,490,480	1,185,969
Revenue reserve	17	3,070,838	2,607,295	1,021,904	852,512
Proposed dividend	16	-	515,270	-	515,270
Other reserves	17	677,851	266,317	-	-
Equity attributable to equity holders		5,774,876	5,090,121	3,048,091	3,069,021
Non-controlling interests		382,313	374,761	-	-
Total equity		6,157,189	5,464,882	3,048,091	3,069,021
REPRESENTED BY:					
Assets					
Property and equipment	20	1,063,672	1,084,901	-	-
Intangible assets	22	37,144	51,976	-	-
Goodwill	18	1,254,995	1,254,995	-	-
Investment property	21	936,000	842,200	-	-
Investment in associates	13	-	70,041	-	-
Investment in subsidiaries	13	-	-	3,202,333	3,202,333
Financial investments	19	19,098,156	15,949,076	-	-
Receivables arising from reinsurance		489,991	439,166	-	-
Receivables arising from direct insurance		1,324,014	775,189	-	-
Reinsurers' share of insurance liabilities	23	2,103,145	3,822,104	-	-
Deferred acquisition costs		135,416	123,273	-	-
Other receivables		335,574	461,873	-	-
Deferred income tax	30	108,076	65,037	-	-
Current income tax		56,108	59,376	-	-
Cash and cash equivalents	24	6,251,762	6,452,983	77,610	37,223
Total assets		33,194,053	31,452,190	3,279,943	3,239,556
Liabilities					
Insurance contract liabilities	25	9,720,729	10,320,927	-	-
Deposit administration liabilities	26	12,047,554	11,103,757	-	-
Unearned premium reserve	27	2,768,235	2,664,554	-	-
Creditors arising from direct insurance		616,432	34,616	-	-
Creditors arising from reinsurance		337,443	515,205	-	-
Deferred acquisition income		73,554	76,324	-	-
Other liabilities	28	928,809	913,290	231,852	170,535
Deferred income tax	30	541,887	352,214	-	-
Current income tax		2,221	6,421	-	-
Total liabilities		27,036,864	25,987,308	231,852	170,535
Net assets		6,157,189	5,464,882	3,048,091	3,069,021

The financial statement set out on pages 24 to 101 were approved for issue by the Board of Directors on 8 April 2015 and signed on its behalf by:



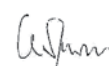
S A MBOYA



M L du Toit



G R May



C Kioni

Consolidated statement of changes in equity

	Notes	Share capital Shs'000	Share pre- mium Shs'000	Statutory reserve Shs'000	Fair value reserve Shs'000	Reval- uation reserve Shs'000	Currency translation reserve Shs'000	Revenue reserve Shs'000	Proposed dividend Shs'000	Non-con- trolling interest Shs'000	Total equity Shs'000
As at 1 January 2014		515,270	1,185,969	176,180	-	120,979	(30,842)	2,607,295	515,270	374,761	5,464,882
Additional shares due to scrip issue		20,437	-	-	-	-	-	-	(20,437)	-	-
Transfer to share premium reserve		-	304,511	-	-	-	-	-	(304,511)	-	-
Total comprehensive income for the year		-	-	(190,470)	-	5,599	(7,310)	1,072,339	-	68,063	948,221
Profit for the year		-	-	-	-	-	-	1,069,964	-	79,021	1,148,985
Other comprehensive income:		-	-	-	-	-	-	-	-	-	-
Recognition of deferred income tax on revaluation surplus		-	-	(183,855)	-	(2,401)	-	-	-	-	(186,256)
Gain on revaluation of land and buildings	20	-	-	-	-	8,000	-	-	-	-	8,000
Foreign currency translation differences		-	-	(6,615)	-	-	(7,310)	2,375	-	(10,958)	(22,508)
Total other comprehensive income		-	-	(190,470)	-	5,599	(7,310)	2,375	-	(10,958)	(200,764)
Transfers to statutory reserve		-	-	603,715	-	-	-	(603,715)	-	-	-
Other reserves		-	-	-	-	-	-	(5,081)	-	-	(5,081)
Distributions:											
Dividend paid to owners of the parent interests		-	-	-	-	-	-	-	(190,322)	-	(190,322)
Dividend paid to non-controlling interests		-	-	-	-	-	-	-	-	(60,511)	(60,511)
Total contributions by and distributions to owners		-	-	603,715	-	-	-	(608,796)	(190,322)	(60,511)	(255,914)
As at 31 December 2014		535,707	1,490,480	589,425	-	126,578	(38,152)	3,070,838	-	382,313	6,157,189

The notes set out on pages 31 to 101 form an integral part of these financial statements.

Consolidated statement of changes in equity

Notes	Share capital Shs'000	Share premium Shs'000	Statutory reserve Shs'000	Fair value reserve Shs'000	Reval- uation reserve Shs'000	Currency translation reserve Shs'000	Revenue reserve Shs'000	Proposed dividend Shs'000	Non-con- trolling interest Shs'000	Total equity Shs'000
As at 1 January 2013 as previously reported	515,270	1,701,239	460,981	436,121	279,680	(32,749)	1,533,118	206,108	321,823	5,421,591
Net effect of change in accounting policy	-	-	(296,213)	(436,121)	(114,953)	-	99,974	-	(6,903)	(754,216)
Net effect of prior period adjustments	-	-	-	-	(70,530)	-	(42,614)	-	-	(113,144)
As at 1 January 2013 (Re-stated)	515,270		164,768	-	94,197	(32,749)	1,590,478	206,108	314,920	4,554,231
Total comprehensive income for the year					26,782	1,907	1,028,229		81,013	1,137,931
Profit for the year									81,013	1,105,920
Other comprehensive income:										
Recognition of deferred income tax on revaluation	-	-	-	-	(11,478)	-	-	-	-	(11,478)
Foreign currency translation differences	-	-	-	-	-	1,907	3,322	-	-	5,229
Gain on revaluation of land and building	-	-	-	-	38,260	-	-	-	-	38,260
Total other comprehensive income					26,782	1,907	3,322			32,011
Transfer to statutory reserves										
Distributions:			11,412	-	-	-	(11,412)	-	-	-
Dividend paid to owners of the parent interests	-	-	-	-	-	-	-	(206,108)	-	(206,108)
Dividend paid to non-controlling interests	-	-	-	-	-	-	-	-	(21,172)	(21,172)
Dividend paid to controlling interests 16		(515,270)	-	-	-	-	-	515,270	-	-
Total contributions by and distributions to owners		(515,270)	11,412	-	-	-	(11,412)	309,162	(21,172)	(227,280)
As at 31 December 2013	515,270	1,185,969	176,180	-	120,979	(30,842)	2,607,295	515,270	374,761	5,464,882

The notes set out on pages 31 to 101 form an integral part of these financial statements.

Company statement of changes in equity

Year ended 31 December 2014	Share capital Shs' 000	Share premium Shs' 000	Revenue reserve Shs' 000	Proposed dividend Shs' 000	Total
As at 1 January 2014	515,270	1,185,969	852,512	515,270	3,069,021
Additional shares due to scrip issue	20,437	-	-	(20,437)	-
Share premium utilised to pay bonus shares	-	304,511	-	(304,511)	-
Total comprehensive income for the year					
Profit for the year	-	-	169,392	-	169,392
Distribution to owners					
Dividend Paid	-	-	-	(190,322)	(190,322)
As at 31 December 2014	535,707	1,490,480	1,021,904	-	3,048,091

Year ended 31 December 2013	Share capital Shs' 000	Share premium Shs' 000	Revenue reserve Shs' 000	Proposed dividend Shs' 000	Total
As at 1 January 2013	515,270	1,701,239	696,910	206,108	3,119,527
Total comprehensive income for the year					
Profit for the year	-	-	155,602	-	155,602
Distribution to owners					
Dividend Paid	-	-	-	(206,108)	(206,108)
Proposed dividend to controlling interests	-	(515,270)	-	515,270	-
As at 31 December 2013	515,270	1,185,969	852,512	515,270	3,069,021

The notes set out on pages 31 to 101 form an integral part of these financial statements.

Company statement of changes in equity

	Notes	Group	
		31 December 2014 Shs' 000	31 December 2013 Shs' 000
Cash generated from operations	31	908,460	984,337
Net interest received		2,063,438	1,869,917
Income tax paid		(262,138)	(376,310)
Net cash generated from operating activities		2,709,760	2,477,944
Investment in associate	13	-	(9,979)
Additions to property and equipment	20	(59,048)	(44,684)
Additions to intangible assets	22	(30,446)	(4,285)
Proceeds from the sale of equipment		114	-
Proceeds from the sale of investment property		57,000	55,000
Purchase of quoted shares		(1,624,386)	(988,012)
Purchase of unquoted shares		(19,275)	-
Purchase from sale of government securities and corporate bonds		(4,336,050)	(3,772,290)
Net investment in loans and receivables		(250,445)	(460,234)
Proceeds from sale of quoted shares		265,867	240,283
Proceeds from sale of unquoted shares		132,428	54,630
Proceeds from sale of government securities and corporate bonds		2,875,031	3,312,056
Dividend, rental and other income received		313,875	87,641
Cash flows (used in) /from investing activities		(2,675,335)	(1,529,874)
Cash flows (used in) financing activities		(250,833)	(540,307)
Dividend paid		(250,833)	(60,511)
Cash in borrowings and overdrafts		-	(479,796)
Net (decrease)/increase in cash and cash equivalents		(216,408)	407,763
Currency translation differences		15,187	11,527
Cash and cash equivalents at 1 January		6,452,983	6,033,693
Cash and cash equivalents at 31 December	24	6,251,762	6,452,983

	Notes	Company	
		31 December 2014 Shs' 000	31 December 2013 Shs' 000
Cash generated from operations	31	230,709	668,486
Net cash generated from operating activities		230,709	668,486
Cash flows from investing activities		230,709	668,486
Cash flows (used in) financing activities		(190,322)	(685,901)
Dividend paid		(190,322)	(206,105)
Cash in borrowings		-	(479,796)
Net increase/(decrease) in cash and cash equivalents		40,387	(17,415)
Cash and cash equivalents at 1 January		37,223	54,638
Cash and cash equivalents at 31 December		77,610	37,223

The notes set out on pages 31 to 101 form an integral part of these financial statements.

1. General information

Liberty Kenya Holdings Limited is incorporated in Kenya under the Companies Act as a limited liability Company, and is domiciled in Kenya. The address of its registered office is:

LR No 209/8592/2
Liberty House, Mamlaka Road
P.O. Box 30390-00100
Nairobi

The Company was listed on the Nairobi Securities Exchange on 21 April 2011. For Kenyan Companies Act reporting purposes, the balance sheet is represented by the statement of financial position and the profit and loss account by the statement of profit or loss in these financial statements.

2. Summary of significant accounting policies

The principal accounting policies adopted in the preparation of these financial statements are set out below and relate to both the Company's and the Group's activities. These policies have been consistently applied to all years presented, unless otherwise stated.

(a) Basis of preparation

The financial statements are prepared in accordance with and comply with International Financial Reporting Standards (IFRS). The financial statements are presented in the functional currency, Kenya Shillings (Shs), rounded to the nearest thousand, and prepared under the historical cost convention, as modified by the carrying of investment property and available-for-sale investments at fair value and actuarially determined liabilities at their present value.

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires

management to exercise its judgement in the process of applying the Group's accounting policies.

(i) New standards, amendment and interpretations

New standards, amendments and interpretations effective and adopted during the year are detailed in the following paragraphs:

Amendments to IAS 32: Offsetting Financial Assets and Financial Liabilities (effective for annual periods beginning on or after 1 January 2014).

The amendments to IAS 32 clarify the offsetting criteria in IAS 32 by explaining when an entity currently has a legally enforceable right to set-off and when gross settlement is equivalent to net settlement.

The adoption of the amendments did not have a significant impact on the financial statements of the Group.

Amendments to IFRS 10, IFRS 12 and IAS 27: Investment entities (effective for annual periods beginning on or after 1 January 2014)

The amendments clarify that a qualifying investment entity is required to account for investments in controlled entities, as well as investments in associates and joint ventures, at fair value through profit or loss; the only exception would be subsidiaries that are considered an extension of the investment entity's investment activities. The consolidation exemption is mandatory and not optional.

The adoption of the amendments did not have a significant impact on the financial statements of the Group.

2. Summary of significant accounting policies (continued)

Amendments to IAS 36: Recoverable Amount Disclosures for Non-Financial Assets (effective for annual periods beginning on or after 1 January 2014)

The amendments reverse the unintended requirement in IFRS 13 Fair Value Measurement to disclose the recoverable amount of every cash-generating unit to which significant goodwill or indefinite-lived intangible assets have been allocated. Under the amendments, the recoverable amount is required to be disclosed only when an impairment loss has been recognised or reversed.

The adoption of the amendments did not have a significant impact on the financial statements of the Group.

Amendments to IAS 39: Novation of Derivatives and Continuation of Hedge Accounting (effective for annual periods beginning on or after 1 January 2014)

The amendments permit the continuation of hedge accounting in a situation where a counterparty to a derivative designated as a hedging instrument is replaced by a new central counterparty (known as 'novation of derivatives'), as a consequence of laws or regulations, if specific conditions are met. The adoption of the amendments did not have a significant impact on the financial statements of the Group.

IFRIC 21: Levies (effective for annual periods beginning on or after 1 January 2014).

IFRIC 21 defines a levy as an outflow from an entity imposed by a government in accordance with legislation. It confirms that an entity recognises a liability for a levy when – and only when – the triggering event specified in the legislation occurs.

The adoption of the amendments did not have a significant impact on the financial statements of the Group.

Note: In terms of IAS 1:31, when new standards, amendments to standards and interpretations which are effective and these are determined to have no effect, or no material effect on the financial statements, it is not necessary to list them as such a disclosure would not be material.

(ii) New and amended standards and interpretations in issue but not yet effective for the year ended 31 December 2014.

All Standards and Interpretations will be adopted at their effective date (except for those Standards and Interpretations that are not applicable to the entity).

Defined benefit plans – Employee contributions (Amendments to IAS 19)

The amendments introduce relief that will reduce the complexity and burden of accounting for certain contributions from employees or third parties. Such contributions are eligible for practical expedient if they are:

- set out in the formal terms of the plan;
- linked to service; and
- independent of the number of years of service.

When contributions are eligible for the practical expedient, a company is permitted (but not required) to recognise them as a reduction of the service cost in the period in which the related service is rendered. The amendments apply retrospectively for annual periods beginning on or after 1 July 2014 with early adoption permitted.

The adoption of these changes will not affect the amounts and disclosures of the Company's defined benefits obligations.

2. Summary of significant accounting policies (continued)

Sale or Contribution of Assets between an Investor and its Associate or Joint Venture (Amendments to IFRS 10 and IAS 28)

The amendments require the full gain to be recognised when assets transferred between an investor and its associate or joint venture meet the definition of a 'business' under IFRS 3 Business Combinations. Where the assets transferred do not meet the definition of a business, a partial gain to the extent of unrelated investors' interests in the associate or joint venture is recognised.

The definition of a business is key to determining the extent of the gain to be recognised

The amendments will be effective from annual periods commencing on or after 1 January 2016.

The adoption of these changes will not affect the amounts and disclosures of the Company's transactions with associates or joint ventures.

Accounting for Acquisitions of Interests in Joint Operations (Amendments to IFRS 11)

The amendments require business combination accounting to be applied to acquisitions of interests in a joint operation that constitutes a business. Business combination accounting also applies to the acquisition of additional interests in a joint operation while the joint operator retains joint control. The additional interest acquired will be measured at fair value. The previously held interest in the joint operation will not be remeasured.

The amendments apply prospectively for annual periods beginning on or after 1 January 2016 and early adoption is permitted. The adoption of these changes would not affect the amounts and disclosures of the Group's interests in joint operations.

Amendments to IAS 41- Bearer Plants (Amendments to IAS 16 and IAS 41)

The amendments to IAS 16 Property, Plant and Equipment and IAS 41 Agriculture require a bearer plant (which is a living plant used solely to grow produce over several periods) to be accounted for as property, plant and equipment in accordance with IAS 16 Property, Plant and Equipment instead of IAS 41 Agriculture. The produce growing on bearer plants will remain within the scope of IAS 41.

The new requirements are effective from 1 January 2016, with earlier adoption permitted.

The amendment will not have a significant impact on the Group's financial statements as the Group does/does not have bearer plants.

Clarification of Acceptable Methods of Depreciation and Amortisation (Amendments to IAS 16 and IAS 38)

The amendments to IAS 16 Property, Plant and Equipment explicitly state that revenue-based methods of depreciation cannot be used for property, plant and equipment.

The amendments to IAS 38 Intangible Assets introduce a rebuttable presumption that the use of revenue-based amortisation methods for intangible assets is inappropriate. The presumption can be overcome only when revenue and the consumption of the economic benefits of the intangible asset are 'highly correlated', or when the intangible asset is expressed as a measure of revenue.

The amendments apply prospectively for annual periods beginning on or after 1 January 2016 and early adoption is permitted. The adoption of these changes will not affect the amounts and disclosures of the Group's property, plant and equipment and intangible assets.

2. Summary of significant accounting policies (continued)

Equity Method in Separate Financial Statements (Amendments to IAS 27)

The amendments allow the use of the equity method in separate financial statements, and apply to the accounting not only for associates and joint ventures but also for subsidiaries

The amendments apply retrospectively for annual periods beginning on or after 1 January 2016 with early adoption permitted.

The adoption of these changes will not affect the amounts and disclosures of the Company's interests in other entities.

(b) Consolidation

i) Subsidiaries

Subsidiaries are all entities (including structured entities) over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

The Group applies the acquisition method to account for business combinations. The consideration transferred for the acquisition of a subsidiary is the fair values of the assets transferred, the liabilities incurred to the former owners of the acquiree and the equity interests issued by the Group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. The

Group recognises any non-controlling interest in the acquiree on an acquisition-by-acquisition basis at fair value. However, non-controlling interest's that are present ownership interests and entitle their holders to a proportionate share of the entity's net assets in the event of liquidation are recognised at either fair value or proportionate share of the recognised amounts of acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred.

If the business combination is achieved in stages, the acquisition date carrying value of the acquirer's previously held equity interest in the acquiree is re-measured to fair value at the acquisition date; any gains or losses arising from such re-measurement are recognised in profit or loss.

The excess of the consideration transferred the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of any previous equity interest in the acquiree over the fair value of the identifiable net assets acquired is recorded as goodwill. If the total of consideration transferred, non-controlling interest recognised and previously held interest measured is less than the fair value of the net assets of the subsidiary acquired in the case of a bargain purchase, the difference is recognised directly in profit or loss.

Inter-company transactions, balances and unrealised gains on transactions between group companies are eliminated. Unrealised losses are also eliminated. When necessary, amounts reported by subsidiaries have been adjusted to conform to the Group's accounting policies.

The consolidated financial statements incorporate the financial statements of Liberty Kenya Holdings Limited and its subsidiaries, Liberty Life Assurance Company Kenya Limited,

2. Summary of significant accounting policies (continued)

b) Consolidation (continued)

CfC Investments Limited, The Heritage Insurance Company Kenya Limited, The Heritage Insurance Company Tanzania Limited and Azali Limited. The financial statements have been made up to 31 December 2014

(ii) Changes in ownership interests in subsidiaries without change of control

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions – that is, as transactions with owners in their capacity as owners. The difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

(iii) Disposal of subsidiaries

When the Group ceases to control, any retained interest in the entity is re-measured to its fair value at the date when control is lost, with the change in carrying amount recognised in profit or loss. The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in other comprehensive income in respect of that entity are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in other comprehensive income are reclassified to profit or loss.

(iv) Associates

Associates are all entities over which the Group

has significant influence but not control, generally accompanying a shareholding of between 20% and 50% of the voting rights. Investments in associates are accounted for by the equity method of accounting. Under the equity method, the investments are initially recognised at cost, and the carrying amount is increased or decreased to recognise the investor's share of the profit or loss of the investee after the date of acquisition. The Group's investment in associates includes goodwill identified on acquisition.

If the ownership interest in an associate is reduced but significant influence is retained, only a proportionate share of the amounts previously recognised in other comprehensive income is reclassified to profit or loss as appropriate. The Group's share of its associates' post-acquisition profits or losses is recognised in profit or loss, and its share of post-acquisition movements in other comprehensive income is recognised in other comprehensive income, with a corresponding adjustment to the carrying amount of the investment. When the Group's share of losses in an associate equals or exceeds its interest in the associate, including any other unsecured receivables, the Group does not recognise further losses, unless it has incurred legal or constructive obligations or made payments on behalf of the associate.

The Group determines at each reporting date whether there is any objective evidence that the investment in the associate is impaired. If this is the case, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate and its carrying value and recognises the amount adjacent to 'share of profit or loss of an associate' in the profit or loss.

Profits and losses resulting from upstream and downstream transactions between the group and its associate are recognised in the Group's financial statements only to the extent of unrelated investor's interests in the associates. Unrealised losses are eliminated unless the transaction provides evidence of an impairment of the asset transferred.

2. Summary of significant accounting policies (continued)

Accounting policies of associates have been changed where necessary to ensure consistency with the policies adopted by the Group. Dilution gains and losses arising from investments in associates are recognised in profit or loss.

(c) Insurance contracts

(i) Classification

The Group issues contracts that transfer insurance risk or financial risk or both. Insurance contracts are those contracts that transfer significant insurance risk. Such contracts may also transfer financial risk.

As a general guideline, the group defines as significant insurance risk, the possibility of having to pay benefits on the occurrence of an insured event that are at least 10% more than the benefits payable if the insured event did not occur.

Investment contracts are those contracts that transfer financial risk with no significant insurance risk. See accounting policy for these contracts under 2(f).

A number of insurance and investment contracts contain a discretionary participation feature (DPF). This feature entitles the holder to receive, as a supplement to guaranteed benefits, additional benefits or bonuses:

- a) that are likely to be a significant portion of the total contractual benefits;
- b) whose amount or timing is contractually at the discretion of the Group; and
- c) that are contractually based on:
 - the performance of a specified pool of contracts or a specified type of contract;
 - realised and/or unrealised investment returns on a specified pool of assets held by the Group; or
 - The profit or loss of the Company, fund

or other entity that issues the contract. Insurance contracts and investment contracts are classified into two main categories, depending on the duration of risk and as per the provisions of the Insurance Act.

Long term insurance business

Long-term insurance business includes insurance business of all or any of the following classes, namely, life assurance business, superannuation business, industrial life assurance business, bond investment business and business incidental to any such class of business.

Life assurance business means the business of, or in relation to, the issuing of, or the undertaking of a liability to pay money on death (not being death by accident or in specified sickness only) or on the happening of any contingency dependent on the termination or continuance of human life (either with or without provision for a benefit under a continuous disability insurance contract, and include a contract which is subject to the payment of premiums for term dependent on the termination or continuance of human life and any contract securing the grant of an annuity for a term dependent upon human life; Superannuation business means life assurance business, being business of, or in relation to, the issuing of or the undertaking of liability under superannuation, group life and permanent health insurance policy.

General insurance business

It is insurance business of any class or classes that is not long term insurance business. Classes of general Insurance include Engineering insurance, Fire insurance – domestic risks, Fire insurance – industrial and commercial risks, Liability insurance, Marine insurance, Motor insurance – private vehicles, Motor insurance – commercial vehicles, Personal accident insurance, Theft insurance, Workmen's Compensation and Employer's Liability insurance and Miscellaneous

2. Summary of significant accounting policies

(continued)

(c) Insurance contracts (continued)

insurance (i.e. class of business not included under those listed above). Motor insurance business means the business of affecting and carrying out contracts of insurance against loss of, or damage to, or arising out of or in connection with the use of, motor vehicles, inclusive of third party risks but exclusive of transit risks. Personal Accident insurance business means the business of affecting and carrying out contracts of insurance against risks of the persons insured sustaining injury as the result of an accident or of an accident of a specified class or dying as the result of an accident or of an accident of a specified class or becoming incapacitated in consequence of disease or of disease of a specified class. It also includes business of effecting and carrying out contracts of insurance against risk of persons insured incurring medical expenses.

Fire insurance business means the business of affecting and carrying out contracts of insurance, otherwise than incidental to some other class of insurance business against loss or damage to property due to fire, explosion, storm and other occurrences customarily included among the risks insured against in the fire insurance business, damage to property due to fire, explosion, storm and other occurrences customarily included among the risks insured against in the fire insurance business.

(ii) Recognition and measurement

a) Premium income

For long term insurance business, premiums are recognised as revenue when they become payable by the contract holder. Premiums are shown before deduction of commission. For general insurance business, premium income is recognised on assumption of risks, and includes estimates of premiums due but not yet received, less an allowance for cancellations, and

less unearned premium. Unearned premiums represent the proportion of the premiums written in periods up to the accounting date that relates to the unexpired terms of policies in force at the financial reporting date, and is computed using the 365ths method. Premiums are shown before deduction of commission and are gross of any taxes or duties levied on premiums.

b) Claims

For long term insurance business, benefits are recorded as an expense when they are incurred. Claims arising on maturing policies are recognised when the claim becomes due for payment. Death claims are accounted for on notification. Surrenders are accounted for on payment.

A liability for contractual benefits that are expected to be incurred in the future is recorded when the premiums are recognised. The liability is determined as the sum of the expected discounted value of the benefit payments and the future administration expenses that are directly related to the contract, less the expected discounted value of the theoretical premiums that would be required to meet the benefits and administration expenses based on the valuation assumptions used (the valuation premiums). The liability is based on assumptions as to mortality, persistency, maintenance expenses and investment income that are established at the time the contract is issued. A margin for adverse deviations is included in the assumptions.

Where insurance contracts have a single premium or a limited number of premium payments due over a significantly shorter period than the period during which benefits are provided, the excess of the premiums payable over the valuation premiums is deferred and recognised as income in line with the decrease of unexpired insurance risk of the contracts in-force or, for annuities in force, in line with the decrease of the amount of

2. Summary of significant accounting policies

(continued)

(c) Insurance contracts (continued)

future benefits expected to be paid. The liabilities are recalculated at each financial reporting date using the assumptions established at inception of the contracts. For general insurance business, claims incurred comprise claims paid in the year and changes in the provision for outstanding claims. Claims paid represent all payments made during the year, whether arising from events during that or earlier years. Outstanding claims represent the estimated ultimate cost of settling all claims arising from incidents occurring prior to the financial reporting date, but not settled at that date. Outstanding claims are computed on the basis of the best information available at the time the records for the year are closed, and include provisions for claims incurred but not reported ("IBNR"). Outstanding claims are not discounted.

c) Commissions earned and payable and deferred acquisition costs ("DAC")

Commissions earned and payable are recognised in the period in which relevant premiums are written. A proportion of commissions' payable is deferred and amortised over the period in which the related premium is earned. Deferred acquisition costs represent a proportion of acquisition costs that relate to policies that are in force at the year end.

d) Liability adequacy test

At each financial reporting date, liability adequacy tests are performed to ensure the adequacy of the contract liabilities net of related DAC. In performing these tests, current best estimates of future contractual cash flows and claims handling and administration expenses, as well as investment income from the assets backing such liabilities, are used. Any deficiency is immediately charged to profit or loss as

part of claims incurred. Contracts entered into by the Group with reinsurers under which the Group is compensated for losses on one or more contracts issued by the Group and that meet the classification requirements for insurance contracts are classified as reinsurance contracts held. Contracts that do not meet these classification requirements are classified as financial assets. Insurance contracts entered into by the Group under which the contract holder is another insurer (inwards reinsurance) are included with insurance contracts.

e) Reinsurance contracts held

The benefits to which the Group is entitled under its reinsurance contracts held are recognised as reinsurance assets. These assets consist of short-term balances due from reinsurers, as well as longer term receivables that are dependent on the expected claims and benefits arising under the related reinsured insurance contracts. Amounts recoverable from or due to reinsurers are measured consistently with the amounts associated with the reinsured insurance contracts and in accordance with the terms of each reinsurance contract. Reinsurance liabilities are primarily premiums payable for reinsurance contracts and are recognised as an expense when due.

f) Receivables and payables related to insurance contracts and investment contracts

Receivables and payables are recognised when due. These include amounts due to and from agents, brokers and insurance contract holders. If there is objective evidence that the insurance receivable is impaired, the Group reduces the carrying amount of the insurance receivable accordingly and recognises that impairment loss in the profit or loss. The Group gathers the objective evidence that an insurance receivable

2. Summary of significant accounting policies

(continued)**(c) Insurance contracts (continued)**

is impaired using the same process adopted for loans and receivables. The impairment loss is also calculated under the same method used for these financial

g) Salvage and subrogation reimbursements

Some insurance contracts permit the Group to sell (usually damaged) property acquired in settling a claim (for example, salvage). The Group may also have the right to pursue third parties for payment of some or all costs (for example, subrogation).

Estimates of salvage recoveries are included as an allowance in the measurement of the insurance liability for claims, and salvage property is recognised in other assets when the liability is settled. The allowance is the amount that can reasonably be recovered from the disposal of the property.

Subrogation reimbursements are also considered as an allowance in the measurement of the insurance liability for claims and are recognised in other assets when the liability is settled. The allowance is the assessment of the amount that can be recovered from the action against the liable third party.

(d) Functional currency and translation of foreign currencies**(i) Functional and presentation currency**

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates ('the Functional Currency'). The consolidated financial statements are presented in 'Kenyan Shillings (Shs)' rounded to the nearest thousand, which is the Group's presentation currency.

(ii) Transactions and balances

Foreign currency transactions are translated into the functional currency using exchange rates prevailing at the dates of the transactions or valuation where items are re-measured. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss, except when deferred in other comprehensive income.

Foreign exchange gains and losses that relate to borrowings and cash and cash equivalents are presented in profit or loss within 'finance income or cost'. All other foreign exchange gains and losses are presented in profit or loss within 'other income' or 'other expenses'. Translation differences related to changes in amortised cost are recognised in profit or loss, and other changes in carrying amount are recognised in other comprehensive income.

Translation differences on non-monetary financial assets and liabilities, such as equities held at fair value through profit or loss, are recognised in profit or loss as part of the fair value gain or loss. Translation differences on non-monetary financial assets, such as equities classified as financial assets through other comprehensive income, are included in other comprehensive income.

2. Summary of significant accounting policies (continued)

(d) Functional currency and translation of foreign currencies (continued)

(iii) Group companies

The results and financial position of all the Group entities (none of which has the currency of a hyper-inflationary economy) that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

- assets and liabilities for each statement of financial position presented are translated at the closing rate at the reporting date;
- income and expenses are translated at average exchange rates (unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the rate on the dates of the transactions); and all resulting exchange differences are recognised in other comprehensive income.

Goodwill and fair value adjustments arising on the acquisition of a foreign entity are treated as assets and liabilities of the foreign entity and translated at the closing rate. Exchange differences arising are recognised in other comprehensive income.

(e) Revenue recognition

(i) Insurance premium revenue

The revenue recognition policy relating to insurance contracts is set out under note (c) above

(ii) Commissions

Commissions receivable are recognised as income in the period in which they are earned.

(iii) Rendering of services

Revenue arising from asset management and other related services offered by the Group are recognised in the accounting period in which the services are rendered. Fees consist primarily of investment management fees arising from services rendered in conjunction with the issue and management of investment contracts where the Group actively manages the consideration received from its customers to fund a return that is based on the investment profile that the customer selected on origination of the instrument.

These services comprise the activity of trading financial assets in order to reproduce the contractual returns that the Group's customers expect to receive from their investments. Such activities generate revenue that is recognised by reference to the stage of completion of the contractual services. In all cases, these services comprise an indeterminate number of acts over the life of the individual contracts. For practical purposes, the Group recognises these fees on a straight-line basis over the estimated life of the contract. Certain upfront payments received for asset management services ('front-end fees') are deferred and amortised in proportion to the stage of completion of the service for which they were paid. The Group charges its customers for asset management and other related services using the following different approaches:

Front-end fees are charged to the client on inception. This approach is used particularly for single premium contracts. The consideration received is deferred as a liability and recognised over the life of the contract on a straight-line basis; and Regular fees are charged to the customer periodically (monthly, quarterly or annually) either directly or by making a deduction from invested funds. Regular charges billed in advance are recognised on a straight-line basis over the

2. Summary of significant accounting policies (continued)

(e) Revenue recognition (continued)

billing period; fees charged at the end of the period are accrued as a receivable that is offset against the financial liability when charged to the customer.

(iv) Interest income

Interest income for all interest-bearing financial instruments, including financial instruments measured at fair value through profit or loss, is recognised within 'investment income' (Note 7) in the profit or loss using the effective interest rate method. When a receivable is impaired, the Group reduces the carrying amount to its recoverable amount, being the estimated future cash flow discounted at the original effective interest rate of the instrument, and continues unwinding the discount as interest income.

(v) Dividend income

Dividend income for equities is recognised when the right to receive payment is established – this is the ex-dividend date for equity securities.

(vi) Rental income

Rental income is recognized as income in the period in which it is earned. All investment income is stated net of investment expenses.

(vii) Realised / unrealised gains and losses

Realised / unrealised gains and losses recorded in the income statement on investments include gains and losses on financial assets and investment properties. Gains and losses on the sale of investments are calculated as the difference between net sales proceeds and the original or amortised cost and are recorded on occurrence of the sale transaction.

(f) Investment contracts

The Group issues investment contracts without fixed terms (unit-linked) and investment contracts with fixed and guaranteed terms (fixed interest rate). The investment contracts include funds administered for a number of retirement benefit schemes

Investment contracts without fixed terms are financial liabilities whose fair value is dependent on the fair value of underlying financial assets (these contracts are also known as unit-linked investment contracts) and are designated at inception as at fair value through profit or loss. The Group designates these investment contracts to be measured at fair value through profit and loss because it eliminates or significantly reduces a measurement or recognition inconsistency (sometimes referred to as 'an accounting mismatch') that would otherwise arise from measuring assets or liabilities or recognising the gains and losses on them on different bases.

The best evidence of the fair value of these financial liabilities at initial recognition is the transaction price (i.e. the fair value received) unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable markets. When such evidence exists, the Group recognises profit on day 1. The Group has not recognised any profit on initial measurement of these investment contracts because the difference is attributed to the prepayment liability recognised for the future investment management services that the Group will render to each contract holder.

The Group's main valuation techniques incorporate all factors that market participants would consider and make maximum use of observable market data.

The fair value of financial liabilities for investment contracts without fixed terms is determined

2. Summary of significant accounting policies (continued)

(f) Investment contracts (continued)

using the current unit values in which the contractual benefits are denominated. These unit values reflect the fair values of the financial assets contained within the Group's unitised investment funds linked to the financial liability. The fair value of the financial liabilities is obtained by multiplying the number of units attributed to each contract holder at the financial reporting date by the unit value for the same date.

When the investment contract has an embedded put or surrender option, the fair value of the financial liability is never less than the amount payable on surrender, discounted for the required notice period, where applicable. For investment contracts with fixed and guaranteed terms, the amortised cost basis is used. In this case, the liability is initially measured at its fair value less transaction costs that are incremental and directly attributable to the acquisition or issue of the contract.

Subsequent measurement of investment contracts at amortised cost uses the effective interest method. This method requires the determination of an interest rate (the effective interest rate) that exactly discounts to the net carrying amount of the financial liability, the estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period if the holder has the option to redeem the instrument earlier than maturity.

The Group re-estimates at each reporting date the expected future cash flows and recalculates the carrying amount of the financial liability by computing the present value of estimated future cash flows using the financial liability's original effective interest rate. Any adjustment is immediately recognised as income or expense in the income statement.

(g) Property and equipment

Land and buildings are shown at fair value, based on periodic, but at least triennial, valuations by external independent valuers, less subsequent depreciation for buildings. Any accumulated depreciation at the date of revaluation is eliminated against the gross carrying amount of the asset and the net amount is restated to the revalued amount of the asset. All other property and equipment are stated at historical cost less depreciation. Historical cost includes expenditure that is directly attributable to the acquisition of the items.

Land is not depreciated. Depreciation on other assets is calculated using the straight-line method to allocate their cost or revalued amounts to their residual values over their estimated useful lives, as follows:

Leasehold building	The shorter of the lease period or 50 years
Furniture and fitting	10 years
Motor vehicles	3 - 5 years
Computers and office equipment	4 - 5 years

2. Summary of significant accounting policies (continued)

(g) Property and equipment (continued)

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the profit or loss during the financial period in which they are incurred.

Property and equipment are reviewed annually for impairment. Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down immediately to its recoverable amount. Gains and losses on disposal of property and equipment are determined by comparing the proceeds with the carrying amounts and are taken into account in determining operating profit. Buildings are revalued on an annual basis with the change credited/debited to revaluation reserves in equity. Decreases that offset previous increases of the same asset are charged against the revaluation reserves. On disposal of revalued assets, amounts in the revaluation reserve relating to that asset are transferred to retained earnings.

Costs associated with maintaining computer software programmes are recognised as an expense as incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software products controlled by the Group are recognised as intangible assets when the following criteria are met:

- It is technically feasible to complete the software product so that it will be available for use;
- Management intends to complete the software product and use or sell it;

- There is an ability to use or sell the software product
- It can be demonstrated how the software product will generate probable future economic benefits;
- Adequate technical, financial and other resources to complete the development and to use or sell the software product are available; and
- The expenditure attributable to the software product during its development can be reliably measured.

(h) Intangible assets

(i) Computer software

Directly attributable costs that are capitalised as part of the software product include the software development employee costs and an appropriate portion of relevant overheads. Other development expenditures that do not meet these criteria are recognised as an expense as incurred.

Development costs previously recognised as an expense are not recognised as an asset in a subsequent period. Computer software development costs recognised as assets are amortised over their estimated useful lives, which does not exceed seven years.

(ii) Goodwill

Goodwill arises on the acquisition of subsidiaries and associates. It represents the excess of the consideration transferred over the Group's interest in net fair value of the net identifiable assets, liabilities and contingent liabilities of the acquiree and the fair value of the non-controlling interest in the acquiree.

For the purpose of impairment testing, goodwill acquired in a business combination is allocated to each of the cash generating units (CGUs), or

2. Summary of significant accounting policies (continued)

(h) Intangible assets (continued)

groups of CGUs that is expected to benefit from the synergies of the combination. Each unit or group of units to which the goodwill is allocated represents the lowest level within the entity at which the goodwill is monitored for internal management purposes. Goodwill is monitored at the operating segment level.

Goodwill impairment reviews are undertaken annually or more frequently if events or changes in circumstances indicate a potential impairment. The carrying value of goodwill is compared to the recoverable amount, which is the higher of value in use and the fair value less costs to sell. Any impairment is recognised immediately as an expense and is not subsequently reversed.

(i) Impairment of non-financial assets

Intangible assets that have an indefinite useful life or intangible assets not ready to use are not subject to amortisation and are tested annually for impairment. Assets that are subject to amortisation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs of disposal and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are largely independent cash inflows (cash-generating units). Prior impairments of non-financial assets (other than goodwill) are reviewed for possible reversal at each reporting date.

(j) Investment property

Buildings, or part of a building (freehold or held under a finance lease) and land (freehold or held under an operating lease) held for long term rental yields and/or capital appreciation and which are not occupied by the Group are classified as investment property. Investment property is treated as a long term investment and is carried at fair value, representing open market value determined annually by external valuers. Changes in fair values are included in investment income in the profit or loss. Land held under operating lease is classified and accounted for as investment property if and only if the property meets the definition of an investment property.

On disposal of an investment property, the difference between the net disposal proceeds and the carrying amount is charged or credited to the profit or loss.

Properties under construction and development sites with projected use as investment properties are valued at projected fair values taking into account current market conditions, outstanding investment costs and a risk loading according to the progress of the project

(k) Financial instruments

The Group classifies its financial assets into the following categories: financial assets at fair value through profit or loss; loans, advances and receivables; held-to-maturity financial assets; and available-for-sale assets. Management determines the appropriate classification of its financial assets at initial recognition.

(a) Financial assets at fair value through profit or loss

This category has two sub-categories: financial assets held for trading, and those designated at fair value through profit or loss at inception. A financial asset is classified as held-for-trading if acquired principally for the purpose of selling in

2. Summary of significant accounting policies (continued)

(k) Financial instruments (continued)

the short term. Derivatives are also categorised as held-for-trading. Financial assets are designated at fair value through profit or loss when:

- (i) Doing so significantly reduces or eliminates a measurement inconsistency; or
- (ii) They form part of a group of financial assets that is managed and evaluated on a fair value basis in accordance with a documented risk management or investment strategy and reported to key management personnel on that basis.

These assets are initially recorded at fair value. Subsequent to initial recognition, these investments are re-measured at fair value. Fair value adjustments and realised gain and loss are recognised in the income statements.

Financial assets at fair value through profit or loss comprise quoted shares, government securities commercial paper and corporate bonds.

(b) Loans, advances and receivables

Loans, advances and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market, other than: (a) those classified as held for trading and those that the Group on initial recognition designates as at fair value through profit or loss; (b) those that the Group upon initial recognition designates as available-for-sale; or (c) those for which the holder may not recover substantially all of its initial investment, other than because of credit deterioration.

The Group's receivables out of direct insurance and reinsurance arrangements, mortgage loans, loans to policy holders, deposits with financial institutions under the cash category, reinsurer's share of insurance liabilities, receivables

from related parties and other receivables are classified in this category. The assets in this category had a total carrying value of Shs 1,686,259,000 as at 31 December 2013. The company's assets in this category at the end of the year were Shs 1,435,814,000.

(c) Held-to-maturity

Held-to-maturity assets are non-derivative financial assets with fixed or determinable payments and fixed maturities that management has the positive intention and ability to hold to maturity. Were the Group to sell more than an insignificant amount of held-to-maturity assets, the entire category would have to be reclassified as available for sale.

Certain investments in government securities and corporate bonds are classified in this category. The assets in this category had a total carrying value of Shs 6,496,368,000 at the financial reporting date of 31 December 2013. The Company's assets in this category at the end of the year were Shs 6,494,874,000.

(l) Offsetting financial instruments

Financial assets and liabilities are offset and the net amount reported in the statement of financial position when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously.

Recognition, de-recognition and measurement

Financial assets are initially recognised at fair value plus, for all financial assets except those carried at fair value through profit or loss, transaction costs. Financial assets are de-recognised when the rights to receive cash flows from the financial assets have expired or where the Company has transferred substantially all risks and rewards of ownership.

2. Summary of significant accounting policies (continued)

(l) Offsetting financial instruments (continued)

Loans, advances and receivables and held to maturity financial assets are carried at amortised cost using the effective interest rate method. Gains and losses arising from changes in the fair value of 'financial assets at fair value through profit or loss' are included in the income statement in the period in which they arise. Fair values of quoted investments in active markets are based on current bid prices. Fair values for unlisted equity securities are estimated using valuation techniques. These include the use of recent arm's length transactions, discounted cash flow analysis and other valuation techniques commonly used by market participants. Equity securities for which fair values cannot be measured reliably are recognised at cost less impairment.

Financial liabilities

All the Group's financial liabilities are measured at amortised cost. These include payables under deposit administration and creditors arising from reinsurance arrangements. Financial liabilities are initially measured at fair value and subsequently at amortised cost. Financial liabilities are derecognised when extinguished.

(m) Impairment of financial assets

The Group assesses at each financial reporting date whether there is objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is impaired and impairment losses are incurred only if there is objective evidence of impairment as a result of one or more events that occurred after initial recognition of the asset (a 'loss event') and that loss event (or events) has an impact on the estimated future cash flows of

the financial asset or group of financial assets that can be reliably estimated such as:

- (i) significant financial difficulty of the borrower;
- (ii) a breach of contract, such as default or delinquency in interest or principal repayments;
- (iii) the Group granting to the borrower, for economic or legal reasons relating to the borrower's financial difficulty, a concession that the Group would not otherwise consider;
- (iv) it becoming probable that the borrower will enter bankruptcy or other financial reorganisation;
- (v) the disappearance of an active market for that financial asset because of financial difficulties;
- (vi) observable data indicating that there is a measurable decrease in the estimated future cash flows from a group of financial assets since the initial recognition of those assets, although the decrease cannot yet be identified with the individual financial assets in the group, including:
 - Adverse changes in the payment status of borrowers in the group; or
 - National or local economic conditions that correlate with defaults on the assets in the group; or
- (vii) Significant or prolonged decline in the fair value of investments in equity instruments below their cost and its identification is determined by management for each identified portfolio.

2. Summary of significant accounting policies (continued)

(m) Impairment of financial assets (continued)

(i) Assets carried at amortised cost

The Company assesses whether objective evidence of impairment exists for individual financial assets. If there is objective evidence that an impairment loss on financial assets carried at amortised cost has been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future credit losses that have not been incurred) discounted at the financial instrument's original effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognised in the income statement. If a loan or held-to-maturity asset has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate determined under the contract. As a practical expedient, the Company may measure impairment on the basis of an instrument's fair value using an observable market price.

The calculation of the present value of the estimated future cash flows of a collateralised financial asset reflects the cash flows that may result from foreclosure less costs for obtaining and selling the collateral, whether or not foreclosure is probable.

(ii) Re-negotiated loans

Loans that are either subject to collective impairment assessment or individually significant and whose terms have been renegotiated are no longer considered to be past due but are treated as new loans. In subsequent years, the renegotiated terms apply in determining whether the asset is considered to be past due.

(iii) Cash and cash equivalents

Cash and cash equivalents are carried in the statement of financial position at amortised cost. For the purposes of the statement of cash flows, cash and cash equivalents comprise cash on hand, deposits held at call with banks, other short-term highly liquid investments with original maturities of three months or less, and bank overdrafts.

(n) Employee benefits

Employee entitlements to long service awards are recognised when they accrue to employees. A provision is made for the estimated liability for such entitlements as a result of services rendered by employees up to the financial reporting date.

The estimated monetary liability for employees' accrued annual leave entitlement at the financial reporting date is recognised as an expense accrual.

(o) Current and deferred income tax

The tax expense for the period comprises current and deferred income tax. Tax is recognised in the profit or loss except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity, respectively.

The current income tax charge is calculated on the basis of the tax enacted or substantively enacted at the reporting date. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation.

It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

2. Summary of significant accounting policies (continued)

(o) Current and deferred income tax (continued)

Deferred income tax is recognised, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying values in the financial statements. However, if the deferred tax liabilities are not recognised if they arise from the initial recognition of goodwill; deferred income tax is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit nor loss. Deferred income tax is determined using tax rates and laws that have been enacted or substantively enacted at the reporting date and are expected to apply when the related deferred income tax liability is settled.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised. Deferred income tax is provided on temporary differences arising on investments in subsidiaries and associates, except where the timing of the reversal of the temporary difference is controlled by the Group and it is probable that the temporary difference will not reverse in the foreseeable future. Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred income taxes assets and liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

(p) Borrowings

Borrowings are recognised initially at fair value, net of transaction costs incurred. Borrowings

are subsequently stated at amortised cost using the effective interest method; any differences between proceeds (net of transaction costs) and the redemption value is recognised in the profit or loss over the period of the borrowings.

General and specific borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale. Investment income earned on the temporary

(p) Borrowings

investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

All other borrowing costs are recognised in profit or loss in the period in which they are incurred.

(q) Dividends

Dividends payable to the Group's shareholders are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until declared.

(r) Share capital

Ordinary shares are classified as 'share capital' in equity. Any premium received over and above the par value of the shares is classified as 'share premium' in equity. Incremental costs directly attributable to the issue of new ordinary shares are shown in equity as deduction from the proceeds net of tax.

3. Critical accounting estimates and judgements in applying accounting policies

The Group makes estimates and assumptions that affect the reported amounts of assets and

3. Critical accounting estimates and judgements in applying accounting policies (continued)

liabilities within the next financial year. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

a) Impairment of goodwill

The Group tests annually whether goodwill has suffered any impairment, in accordance with the accounting policy stated in Note 2 h(ii). The recoverable amounts of cash-generating units have been determined based on value-in-use calculations. The carrying amount of the goodwill and the key assumptions made are set out in Note 18.

b) Fair value estimation

The fair value of financial instruments that are not traded in an active market is determined by using valuation techniques. The Group uses its judgement to select a variety of methods and make assumptions that are mainly based on market conditions existing at the end of each reporting date. The Group has used a discounted cash flow analysis for various financial assets that are not traded in active markets.

c) Income taxes

The Group is subject to income taxes in various jurisdictions. Significant judgment is required in determining the Group's provision for income taxes. There are many transactions and calculations on which the ultimate tax determination is uncertain during the ordinary course of business. The Group recognises liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these

matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

d) The classification of financial investments

In applying the Groups accounting policies, management has made judgement in determining the classification of financial investments as held-to-maturity, available for sale and loans and receivables in line with IAS 39. The classifications require judgement of the Group's ability and intention to hold the investments to maturity.

e) Insurance contract liabilities

It is the statutory requirement in Kenya that the insurance contract liabilities are calculated on the statutory Net Present Valuation (NPV) basis. The NPV is intended to measure the solvency of the life operation on a stable basis and examines the business from the point of view of premiums that are net of standard expense allowances the value of future net premium is compared with the cost of providing contractual policyholder benefits over the duration of the policy. When performing the liability adequacy test, all classes for which undiscounted liabilities were calculated, a discounted cash flow model was created based on the "best estimate" assumptions. Prudent margins are added to these to project cash flows. These are then discounted at the valuation interest rate.

f) Mortality

An appropriate base table of standard mortality is chosen depending on the type of contract and class of business. Industry standard tables are used for smaller classes of business, while Group specific tables are used for larger classes. Estimates are made as to the expected number of deaths for each of the years in which the Group is exposed to risk.

3. Critical accounting estimates and judgements in applying accounting policies (continued)

g) Insurance contract liabilities

The Group bases these estimates on standard mortality tables that reflect historical mortality experience. The estimated number of deaths determines the value of the benefit payments and the value of the valuation premiums. The main source of uncertainty is that epidemics such as AIDS could result in future mortality being significantly worse than in the past for the age Groups in which the Group has significant exposure to mortality risk. However, continuing improvements in medical care and social conditions could result in improvements in longevity in excess of those allowed for in the estimates used to determine the liability for contracts where the Company is exposed to longevity risk. For contracts without fixed terms, it is assumed that the Group will be able to increase mortality risk charges in future years in line with emerging mortality experience.

An investigation into mortality experience is performed annually. The period investigation extends over the latest three full years for larger classes of business. Investigations relating to smaller classes usually extend over five years in order to gain sufficient credibility of the data. The results of the investigation are used to set the valuation assumptions, which are taken as an adjustment to the respective standard table.

In setting the assumptions, provision is made for the expected increase in AIDS-related claims. In general, Actuarial Society of South Africa (ASSA) models are used to allow AIDS-related claims. The practice differs by class of business, however for major classes of business, a basic allowance for AIDS related deaths is included in the base mortality rates against which annual mortality investigations are conducted. A further discretionary margin is then held using the ASSA2000 lie model.

(i) Morbidity

The incidence of disability claims is derived from industry experience studies, adjusted where appropriate for Group Companies own experience. The same is true for the incidence of recovery from disability.

(ii) Medical

The incidence of medical claims is derived from the risk premium rates determined from annual investigations. This is adjusted where appropriate to allow for the future expected experience.

(iii) Withdrawal

The withdrawal assumptions are based on the most recent withdrawal investigations taking into account past as well as expected future trends. The withdrawal rates are analysed by product type and policy duration. These withdrawal rates vary considerably by duration and policy term. Typically the rates are higher for risk type products versus investment type products, and are higher at early durations.

(iv) Correlation

No correlations between assumptions are allowed for.

4. Segmental reporting

The Group is currently organised in line with the Insurance Act which classifies insurance and investment contracts into two main categories (long-term and general) depending on the duration of risk. The results of the business units are reviewed regularly by management in order to make decisions about resources to be allocated to segments and assessing segment performance. The Group is required to produce segmented financial statements i.e. profit or loss and statement of financial position in compliance with IFRS 8.

4. Segmental reporting (continued)

An operating segment is a component of the Group engaged in business activities, whose operating results are reviewed regularly by management in order to make decisions about resources to be allocated to segments and assessing segment performance. Identification of segments and the measurement of segment result is based on the Group's internal reporting to management. The geographical spread (across borders) is also used as a part of performance analysis.

a) Long term business

Includes insurance business of all or any of the following classes, namely, life assurance business, superannuation business, industrial life assurance business and bond investment business and business incidental to any such class of business;

Life assurance business means the business of, or in relation to, the issuing of, or the undertaking of liability to pay money on death (not being death by accident or in specified sickness only) or on the happening of any contingency dependent on the termination or continuance of human life (either with or without provision for a benefit under a continuous disability insurance contract), and include a contract which is subject to the payment of premiums for term dependent on the termination or continuance of human life and any contract securing the grant of an annuity for a term dependent upon human life;

Superannuation business means life assurance business, being business of, or in relation to, the issuing of or the undertaking of liability under superannuation, Group life and permanent health insurance policy.

b) General insurance business

Includes insurance business of any class or classes not being long term insurance business. Classes of General Insurance include Aviation

insurance, Engineering insurance, Fire insurance - domestic risks, Fire insurance - industrial and commercial risks, Liability insurance, Marine Insurance, Motor insurance - private vehicles, Motor insurance - commercial vehicles, Personal accident insurance, Theft insurance, Workmen's Compensation and Employer's Liability insurance and Miscellaneous insurance (i.e. class of business not included under those listed above)

Motor insurance business means the business of affecting and carrying out contracts of insurance against loss of, or damage to, or arising out of or in connection with the use of, motor vehicles, inclusive of third party risks but exclusive of transit risks.

Personal Accident insurance business means the business of affecting and carrying out contracts of insurance against risks of the persons insured sustaining injury as the result of an accident or of an accident of a specified class or dying as the result of an accident or of an accident of a specified class or becoming incapacitated in consequence of disease or of disease of a specified class.

Fire insurance business means the business of affecting and carrying out contracts of insurance, otherwise than incidental to some other class of insurance business against loss or damage to property due to fire, explosion, storm and other occurrences customarily included among the risks insured against in the fire insurance business.

a) Major Customers

The Group does not have any one major customer that contributes more than 10 percent of its revenues.

4. Segmental reporting (continued)**Results by business units (continued)**

	31 December 2014		
	Long term business Shs'000	General business Shs'000	Total Shs'000
Net insurance premium revenue	1,913,456	2,779,029	4,692,485
Commissions earned	56,089	612,488	668,577
Investment income	2,304,937	663,317	2,968,254
Administration fees	13,764	-	13,764
Other income	-	(40,528)	(40,528)
	2,374,790	1,235,277	3,610,067
Total income	4,288,246	4,014,306	8,302,552
Net insurance benefits and claims	(2,298,532)	(1,157,929)	(3,456,461)
Total expenses and commissions	(1,379,407)	(2,130,033)	(3,509,440)
Results of operating activities	610,307	726,344	1,336,651
Earnings from associate	-	9,918	9,918
Profit before income tax	610,307	736,262	1,346,569
Income tax expense	(25,478)	(172,106)	(197,584)
Profit for the year	584,829	564,156	1,148,985
Total Assets	22,838,450	10,355,603	33,194,053
Property and equipment	614,243	449,429	1,063,672
Intangible assets	7,901	29,243	37,144
Investment property	708,000	228,000	936,000
Financial investments	16,422,634	2,675,522	19,098,156
Reinsurers' share of insurance liabilities	161,406	1,941,739	2,103,145
Other assets	4,924,266	5,031,670	9,955,936
Total Liabilities	20,915,149	6,121,715	27,036,864
Insurance contract liabilities	7,599,679	2,121,050	9,720,729
Payable under deposit administration contracts	12,047,554	-	12,047,554
Unearned premium reserves	133,135	2,635,100	2,768,235
Other liabilities	1,134,781	1,365,565	2,500,346
Additions to property and equipment	12,029	47,019	59,048
Additions to intangible assets	346	30,208	30,554

4.Segmental reporting**Results by business units (continued)**

	31 December 2013		
	Long term business Shs'000	General business Shs'000	Total Shs'000
Net insurance premium revenue	1,474,498	2,592,630	4,067,128
Commissions earned	91,426	566,066	657,492
Investment income	2,028,137	601,382	2,629,519
Administration fees	15,899	(2)	15,897
Other income	-	8,574	8,574
	2,135,462	1,176,020	3,311,482
Total income	3,609,960	3,768,650	7,378,610
Net insurance benefits and claims	(2,020,234)	(1,056,607)	(3,076,841)
Total expenses and commissions	(1,153,089)	(1,842,431)	(2,995,520)
Results of operating activities	436,637	869,612	1,306,249
Earnings from associate	-	(7,387)	(7,387)
Profit before income tax	436,637	862,225	1,298,862
Income tax expense	(20,176)	(172,766)	(192,942)
Profit for the year	416,461	689,459	1,105,920
Total Assets	20,281,921	11,170,269	31,452,190
Property and equipment	658,930	425,971	1,084,901
Intangible assets	48,254	3,722	51,976
Investment property	595,200	247,000	842,200
Financial investments	13,271,235	2,677,841	15,949,076
Reinsurers' share of insurance liabilities	109,857	3,712,247	3,822,104
Other assets	5,598,445	4,103,488	9,701,933
Total Liabilities	18,760,111	7,227,197	25,987,308
Insurance contract liabilities	6,558,520	3,762,407	10,320,927
Payable under deposit administration contracts	11,103,757	-	11,103,757
Unearned premium reserves	118,709	2,545,845	2,664,554
Other liabilities	979,125	981,945	1,898,070
Additions to property and equipment	20,265	24,419	44,684
Additions to intangible assets	2,092	2,193	4,285

4. Segmental reporting (continued)**Results by geographical spread**

The Tanzania subsidiary contributed approximately 17.2% of the Group's 2014 consolidated income

	31 December 2014		
	Kenya business Shs'000	Tanzania business Shs'000	Total Shs'000
Net insurance premium revenue	3,993,126	699,359	4,692,485
Commissions earned	488,823	179,754	668,577
Investment income	2,745,191	223,063	2,968,254
Administration fees	13,764	-	13,764
Other income	1,654	(42,182)	(40,528)
	3,249,432	360,635	3,610,067
Total income	7,242,558	1,059,994	8,302,552
Net insurance benefits and claims	(3,134,232)	(322,229)	(3,456,461)
Total expenses and commissions	(2,939,172)	(570,268)	(3,509,440)
Results of operating activities	1,169,154	167,497	1,336,651
Earnings from associate	-	9,918	9,918
Profit before income tax	1,169,154	177,415	1,346,569
Income tax expense	(217,723)	20,139	(197,584)
Profit for the year	951,431	197,554	1,148,985
Total Assets	30,217,210	2,976,843	33,194,053
Property and equipment	1,060,280	3,392	1,063,672
Intangible assets	37,144	-	37,144
Investment property	936,000	-	936,000
Financial investments	18,481,473	616,683	19,098,156
Reinsurers' share of insurance liabilities	1,819,281	283,864	2,103,145
Other assets	7,883,032	2,072,904	9,955,936
Total Liabilities	25,015,804	2,021,060	27,036,864
Insurance contract liabilities	9,018,542	702,187	9,720,729
Payable under deposit administration contracts	12,047,554	-	12,047,554
Unearned premium reserves	1,891,187	877,048	2,768,235
Other liabilities	2,058,521	441,825	2,500,346
Additions to property and equipment	56,772	2,276	59,048
Additions to intangible assets	30,554	-	30,554

4. Segmental reporting (continued)**Results by geographical spread (continued)**

The Tanzania subsidiary contributed approximately 18.3% of the Group's 2013 consolidated income

	31 December 2013		
	Kenya business Shs'000	Tanzania business Shs'000	Total Shs'000
Net insurance premium revenue	3,402,096	665,032	4,067,128
	2,895,577	415,905	3,311,482
Commissions earned	474,879	182,613	657,492
Investment income	2,402,345	227,174	2,629,519
Administration fees	15,897	-	15,897
Other income	2,456	6,118	8,574
Total income	6,297,673	1,080,937	7,378,610
Net insurance benefits and claims	(2,730,662)	(346,179)	(3,076,841)
Total expenses and commissions	(2,468,377)	(527,143)	(2,995,520)
Results of operating activities	1,098,634	207,615	1,306,249
Earnings from associate	-	(7,387)	(7,387)
Profit before income tax	1,098,634	200,228	1,298,862
Income tax expense	(195,246)	2,304	(192,942)
Profit for the year	903,388	202,532	1,105,920
Total Assets	26,211,010	5,241,180	31,452,190
Property and equipment	1,078,339	6,562	1,084,901
Intangible assets	51,976	-	51,976
Investment property	842,200	-	842,200
Financial investments	15,456,123	492,953	15,949,076
Reinsurers' share of insurance liabilities	940,252	2,881,852	3,822,104
Other assets	7,842,120	1,859,813	9,701,933
Total Liabilities	21,683,032	4,304,276	25,987,308
Insurance contract liabilities	7,676,812	2,644,115	10,320,927
Payable under deposit administration contracts	11,103,757	-	11,103,757
Unearned premium reserves	1,616,211	1,048,343	2,664,554
Other liabilities	1,286,252	611,818	1,898,070
Additions to property and equipment	42,588	2,096	44,684
Additions to intangible assets	4,285	-	4,285

5. Management of insurance and financial risk policies

Liberty Kenya Holdings Limited (the Group) offers a comprehensive range of financial products and services to the retail and corporate markets, distributing tailored risk, insurance, investment, retirement and health products through its network. The Group is committed to increasing shareholder value through the prudent management of risks inherent in the production, distribution and maintenance of these products and services. The Group is mindful of achieving this objective in the interests of all stakeholders. The Group continues to explore opportunities to develop and grow its business organically, with strategic plans being subject to careful consideration of the trade-off between risk and reward, taking into account the risk appetite limits approved by the board.

The Group's main value creation activities can be summarised into the following categories:

1. *Providing risk cover* – Liberty Kenya Holdings Limited's core competency is to understand the life, health and asset related risk needs of individuals and Groups, and design sustainable products that provide financial security to policyholders and their families in times of death, sickness or ill health, disability and other losses.
2. *Providing asset management services* – primarily through its subsidiaries, the Group uses its financial skills to provide competitive investment products and investment advice to a broad range of customers.
3. *Assuming market risk* – through the management of assets backing shareholder funds and of exposures arising from asset-liability mismatches which the Group wishes to retain.

Ultimate responsibility for risk management resides with the Board which ensures that all

business unit executives are responsible and are held accountable for risk management within the subsidiaries. Risks are controlled at the level of individual exposures and at portfolio level, as well as in aggregate across all businesses and risk types.

a) Risk management objectives

The Group's key risk management objectives are to:

- Grow shareholder value by generating a long-term sustainable return on capital;
- Ensure the protection of policyholder and investor interests by maintaining adequate solvency levels;
- Meet the statutory requirements of the Kenyan Insurance Act, and other regulators; and
- Ensure that capital and resources are strategically focused on activities that generate the greatest value on a risk adjusted basis.

The management of risks is currently focused on managing shareholder exposures within strategic limits whilst ensuring sufficient allocation of capital on both a regulatory and economic capital basis given the limits in place.

5. Management of insurance and financial risk policies (continued)

b) Capital management

The capital management strategy seeks to ensure that the Group is adequately capitalised to support the risks assumed by the Group in accordance with the Group's risk appetite. It further seeks to fund working capital and strategic requirements, thereby protecting policyholder and customer interests while optimising shareholder risk adjusted returns and delivering in accordance with the Group's dividend policy.

Due to varying requirements of different stakeholders, the Group reports and manages capital on a number of different bases. The capital management process ensures that the Group's available capital exceeds the capital required both currently and going forward and to ensure that the Group has unfettered access to its capital at all times to meet its requirements.

(i) Company

The Company's objective in capital management is to safeguard the Company's ability to continue as going concern in order to provide returns for share holders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the Company may limit the amount of dividends paid to shareholders, issue new shares or sell assets to reduce debt.

The Company monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings less cash and cash equivalents.

Total capital is calculated as equity plus net debt.

	Company	
	2014 Shs'000	2013 Shs'000
Total borrowings (Note 28)	231,852	170,535
Due from group companies (Note 32)	(163,918)	(115,389)
Net borrowings	67,934	55,146
Less: cash and cash equivalents (Note 24)	(77,610)	(37,223)
Net debt	(9,676)	17,923
Total equity	3,048,091	3,069,021
Gearing ratio	-0.32%	0.58%

5. Management of insurance and financial risk policies (continued)

b) Capital management (Continued)

(ii) Group

The Board of Directors at the subsidiary Companies are responsible for monitoring and ensuring compliance with the regulatory framework as established by the Kenyan and Tanzanian Insurance Regulatory Authorities.

The subsidiaries are regulated by the Kenyan Insurance Act, the Tanzanian Insurance Act, Companies Act, Retirement Benefit Authority and Insurance Regulatory Authority. The objectives when managing capital are to:

- Comply with the capital requirements as set out in the Insurance Act;
- Comply with regulatory solvency requirements as set out in the Insurance Act.
- safeguard the companies' ability to continue as going concerns, so that they can continue to provide returns to shareholders and benefits for other stakeholders; and
- Provide an adequate return to shareholders by pricing insurance and investment contracts commensurately with the level of risk.

(lii) The Kenyan Insurance Act requires each insurance Company to hold the minimum level of paid up capital as follows;

	Regulatory requirement Shs' 000	Liberty Life Assurance Shs' 000	Heritage Insurance (Kenya) Shs' 000
General insurance business	300,000	-	500,000
Long-term insurance business	150,000	612,340	-

General insurance businesses are required to keep a solvency margin i.e. admitted assets less admitted liabilities equivalent to the higher of Shs 10 million or 15% of the net premium income during the preceding financial year.

Long-term insurance businesses are required to keep a solvency margin i.e. admitted assets less admitted liabilities equivalent to the higher of Shs 10 million or 5% of total admitted liabilities.

- The Tanzanian Insurance Act requires each insurance Company to hold the minimum level of paid up capital as follows;
- Composite insurance companies TShs 1,000 million
- General insurance business companies TShs 500 million and
- Long term insurance business companies TShs 500 million

5. Management of insurance and financial risk policies (continued)

b) Capital management (Continued)

As at year end, the Heritage Insurance Company (T) Limited had a total of 100,000 ordinary shares with a par value of Tsh. 100,000 of which 60,000 share capital were issued and fully paid. (2013: 60,000 with a par value of Tshs 100,000 each) This was in excess of the minimum requirement.

(iv) Solvency margin

The solvency margins of the subsidiaries as at 31 December 2014 and 31 December 2013 are set out below:

Liberty Life Assurance Limited	Long-term business 2014 Shs' 000	Long-term business 2013 Shs' 000
Admitted assets	22,719,615	20,148,496
Admitted liabilities	(20,915,148)	(18,606,461)
Solvency margin	1,804,467	1,542,035
Required margin	1,045,757	930,323

Heritage Insurance Company Kenya Limited	Short-term business 2014 Shs' 000	Short-term business 2013 Shs' 000
Total admitted assets	4,868,495	4,113,284
Total admitted liabilities	(4,040,049)	(2,867,936)
Add: 15% of previous year's net premium income	(290,462)	(315,327)
Total liabilities and minimum requirement	(4,330,511)	(3,183,263)
Solvency margin	537,984	930,021
Required margin	290,462	315,327

Heritage Insurance Company Tanzania Limited	Short-term business 2014 Shs' 000	Short-term business 2013 Shs' 000
Total admitted assets	1,502,276	1,702,871
Total admitted liabilities	1,068,154	(1,336,297)
Add: 15% of previous year's net premium income	(146,764)	(139,822)
Total liabilities and minimum requirement	(1,214,918)	(1,476,119)
Solvency margin	287,358	226,752
Required margin	146,754	139,822

5. Management of insurance and financial risk policies (continued)

c) Credit risk

Definition

Credit risk refers to the risk of loss or of adverse change in the financial position resulting, directly or indirectly from fluctuations in the credit standing of counterparties and any debtors to which shareholders and policyholders are exposed. Credit risk is a function of exposure at default and probability of default and comprises default, settlement and spread risk.

- Default risk is the risk of credit loss as a result of failure by counterparty to meet its financial and/or contractual obligations. It has three components:

Issuer risk: the exposure at default (EAD) arising from traded credit products.

Primary credit risk: the EAD arising from lending and related product activities. Primary credit risk generally refers to non-tradable, illiquid or hold-to-maturity credit risk.

Settlement risk: is the risk of loss from a transaction settlement, where value is exchanged, failing which the counter value is not received in whole or part.

- Spread risk (also known as credit migration risk) is the result of changes to spreads due to changing circumstances (micro and macro). It is the risk that a portfolio or counterparty's credit quality will materially deteriorate over time without allowing for a repricing of the exposure to compensate for the higher probability of default risk being carried.

Key activities that result in the origination of credit risk are:

- financial asset instruments including debt instruments (including bonds, loans and term deposits and investment policies);
- reinsurance assets including amounts due from reinsurers in respect of claims already paid;
- certain debtor accounts within the financial position categories of prepayments, insurance and other receivables;
- rental due where tenants have signed lease contracts for space within the Group's investment properties;
- Cash and cash equivalents.

Counterparty types to which the Group is exposed to credit risk include sovereigns (governments), state owned enterprises, financial institutions and corporate entities. In addition, the Group is also exposed to credit risk through investment in securitisation issuance, mutual funds and investment policies.

Reinsurance assets

Reinsurance is used to manage insurance risk and consequently, in the liability valuation process, reinsurance assets are raised for expected recoveries on projected claims. This does not, however, discharge the Group's liability as primary insurer. In addition, reinsurance debtors are raised for specific recoveries on claims recognised.

Creditworthiness is assessed when appointing reinsurers. Financial position strength, performance, track record, relative size and ranking within the industry and credit ratings of reinsurers are taken into account when determining the allocation of business to reinsurers. Credit exposure to reinsurers is also limited through the use of several reinsurers. A review of these reinsurers is continuously done. Furthermore, to mitigate credit exposures to reinsurers, reinsurance management performs the following annual checks on reinsurers:

5. Management of insurance and financial risk policies (continued)

c) Credit risk (Continued)

- Copies of reinsurers' claim paying abilities, as assessed by reputable rating agencies, and copies of valuers' certificates are obtained and analysed;
- Meetings and administration process audits are conducted with reinsurers with whom the Group has larger exposures; and
- Reinsurance agreements are reviewed and amended as appropriate with accurate and complete records kept up to date.

Insurance and other receivables

The Group has formalised procedures in place to collect or recover amounts receivable. In the event of default, these procedures include industry supported lists that help to prevent rogue agents, brokers and intermediaries from conducting further business with Liberty Kenya Holdings Limited. Full impairment is made for non-recoverability as soon as management is uncertain as to the recovery.

Credit assessment changes recognised in the income statement

Fair value instruments

The Group invests in both listed and unlisted debt instruments. Changes to credit spreads for listed instruments are based on available market information and/or a proxy (where appropriate), combined with management input and override depending on the liquidity of the listed asset. Unlisted financial assets are generally not actively traded and changes to the credit spread for these instruments are fair valued with reference to proxy listed assets (where appropriate), combined with management input and override, market research and other compelling evidence which is all collated to form a view on current value.

Mortgages and loans, comprising policy loans, are impaired when the amount of the loan exceeds the policyholder's investment balance. The mortgages and loans are recoverable through offset against their respective liabilities (policy benefits) at policy maturity date.

The impairment loss is determined on an incurred loss approach as the difference between the instrument's carrying value and the present value of the asset's estimated future cash flows, including any recoverable collateral, discounted at the instrument's original effective interest rate. To provide for latent losses in a portfolio of loans where the loans have not yet been individually identified as impaired, impairment for incurred but not reported losses is recognised based on historic loss patterns and estimated emergence periods.

The amount that best represents the Group's maximum exposure to credit risk at 31 December 2014 is made up as follows:

Maximum exposure to credit risk before collateral held

	Group		Company	
	2014 Shs' 000	2013 Shs' 000	2014 Shs' 000	2013 Shs' 000
Financial investments	19,098,156	15,949,076	-	-
Receivable arising from reinsurance	489,991	439,166	-	-
Receivable arising from direct insurance	1,324,014	775,189	-	-
Reinsurers' share of insurance liabilities	2,103,145	3,822,104	-	-
Other receivables	335,574	461,873	-	-
Cash and bank balances	6,251,762	6,452,983	77,610	37,223
	29,602,642	27,900,391	77,610	37,223

None of the above assets are past due or impaired except for insurance receivables (which are due upon invoicing):

	Group	
	2014 Shs' 000	2013 Shs' 000
Neither past due nor impaired	1,030,163	457,151
Past due but not impaired	293,851	256,054
Impaired	215,967	205,230
Gross	1,539,981	918,435
Less: allowance for impairment	(215,967)	(205,230)
Net	1,324,014	713,205

5. Management of insurance and financial risk policies (continued)

c) Credit risk (Continued)

	Group	
	2014	2013
	Shs' 000	Shs' 000
Past due but not impaired:		
-by up to 30 days	58,097	55,207
-by 31 to 60 days	90,288	54,505
-by 61 to 150 days	131,437	130,362
-by 151 to 360 days	14,029	15,980
Total past due but not impaired	293,851	256,054

All receivables past due by more than 360 days are considered to be impaired, and are carried at their estimated recoverable value.

Consideration of own credit risk for financial liabilities measured at fair value through profit or loss

Liberty Kenya Holdings Limited has considered the impact of changes in credit risk in the fair value measurement of its policyholder investment contract liabilities. Credit risk changes will only have a significant impact in extreme circumstances, when the Group's ability to fulfil the contract terms is considered to be under threat. The Group remains well capitalised and accordingly no adjustment to the valuation for credit risk has been made for the years under review.

d) Operational risk

Definition

Operational risk is the risk of loss caused by inadequate or failed internal processes, people and systems, or from external events. Operational risk is therefore pervasive across all financial institutions and all other operational companies.

Operational risk is recognized as a distinct risk category which the Group strives to manage within acceptable levels through sound operational risk management practices. The Group's approach to managing operational risk is to adopt practices that are fit for purpose to suit the organizational maturity and particular business environments.

Executive management defines the operational risk appetite at a Group and subsidiary level. This operational risk appetite supports effective decision-making and is central to embedding effective risk management. The objective in managing operational risk is to increase the efficiency and effectiveness of the Group's resources, minimize losses and utilize opportunities.

5. Management of insurance and financial risk policies (continued)

d) Operational risk (Continued)

Ownership and accountability

Management and staff at every level of the business are accountable for the day-to-day identification and management of operational risks. It is also management's responsibility to report any material operational risks, risk events and issues identified to senior management through certain pre-defined escalation procedures.

Risk identification, assessment and measurement

The process of operational risk management starts with the operational risk assessment of identified areas. Consideration is then given to the need for a Group or business unit policy to define the approach to mitigating this risk.

Risk and compliance policies are developed where necessary to:

- ensure compliance with internal principles and with legal and regulatory requirements;
- address associated risks in the business, define roles, responsibilities and expectations at all levels;
- guide staff at all levels on how to conduct Group's business;
- ensure that staff apply consistent processes throughout the Group; and
- help management to develop operating processes.

Policies are approved at the appropriate governance level subject to compliance with Group policy principles. Once identified, operational risks are assessed to determine the potential impact to the Group should the risk

events occur, and reviewed against the Group's risk appetite. Mitigating actions are developed for any operational risks that fall outside of management's assessment of risk appetite.

Risk management activities in relation to operational risks include but are not limited to:

Information technology (IT) risk: The Group is highly dependent on and constantly increasing its use of information technology to ensure improved operations and customer service. The Group's IT systems enable it to take its products to markets across the East African Region and so carry out its expansion strategy.

The Group is, therefore, exposed to various IT risks which include the disruption of transaction processing, information loss and/or malicious attacks from third parties.

Maintaining technological advantage requires a strong IT risk management culture and function that allows the Group to identify and manage IT risks effectively. In order to prevent potential risk events and ensure best practice levels of continuous IT service and security, management review and ensure compliance with relevant IT policies and procedures, conduct control and risk self-assessments and are subject to internal and external audits.

Process risk: The Group's approach to process improvement focuses on process efficiency and work quality. The processes undergoing improvement incorporate input from risk and compliance specialists, as well as other generic process stakeholders and Group finance.

Regulatory risk: The regulatory environment is monitored closely to ensure that the Group implements new or amended legislation requirements promptly to ensure compliance and avoid unnecessary fines and penalties or the revocation of any business license.

5. Management of insurance and financial risk policies (continued)

d) Operational risk (Continued)

Compliance risk: The risk of regulatory sanctions, financial loss or damage to reputation as a result of not complying with legislation, regulation or internal policies is managed through the established compliance functions within the Group and a compliance policy. The policy ensures that compliance requirements are identified and implemented through the development of appropriate policies and procedures and that regular monitoring and reporting of breaches is carried out within the business and at the center to provide the board with assurance on the status of compliance within the organization.

Human resources: The Group remains concerned about the availability of specialist technical skills available in East Africa to provide first world financial services. It focuses on recruitment, development and retention through a number of Group-wide initiatives.

Business continuity management (BCM): BCM is implemented to reduce the risk of not continuing normal business activities should a crisis occur. BCM is an integral component of the Group's risk management framework. The various subsidiaries are regularly exposed to deployment of updated methodologies, testing and training to ensure increased capability to deal with interruptions to business. The Group's has established a BCM site at Mlolongo along Mombasa road where critical staff and core services can be relocated in case of disruptions to business at the usual business premises.

Internal and external fraud: The Group adopts a 'zero-tolerance' approach to fraud. The Group internal audit function supports management in meeting their objective of minimising fraud risk. In terms of the Group's anti-fraud policy, line management is responsible for ensuring

that controls at all stages of a business process are adequate for the prevention and detection of fraud. Prevention and detection measures are periodically rolled out by forensic services to support management.

e) Liquidity risk

Definition

Liquidity risk is the risk that the Group, although solvent, is not able to settle its obligations as they fall due because of insufficient cash in the Group. This might arise in circumstances where the Group's assets are not marketable, or can only be realised at excessive cost. The principal risk relating to liquidity comprises the Group's exposure to policyholder behaviour.

Ownership and accountability

The ownership and accountability for liquidity risk is the same as for market risk. Liquidity requirements are reviewed on an ongoing basis as part of the Group's normal operating activities at the subsidiary level.

Liquidity profile of assets

The Group's assets are liquid however given the quantum of investments held relative to the volumes of trading a substantial short-term liquidation may result in current values not being realised due to demand-supply principles. It is considered highly unlikely, however, that a short-term realisation of that magnitude would occur.

Liquidity risks arising out of obligations to policyholders

On unit-linked business, liquidity risk and asset-liability matching risk arising as a result of changes in lapse and withdrawal experience is limited through policy terms and conditions that restrict claims to the value at which assets are realised. Similarly the liquidity and asset-liability matching risk arising from a change in withdrawal experience on business with DPF is limited through policy terms and conditions that permit withdrawal benefits to be altered in the event of falling asset prices.

5. Management of insurance and financial risk policies (continued)**e) Liquidity risk (Continued)**

The table below presents the cash flows receivable and payable by the Group under financial assets and liabilities by remaining expected maturities at the reporting date.

As at 31 December 2014	1 - 3 months Shs'000	3 - 12 months Shs'000	1 - 5 years Shs'000	over 5 years Shs'000	Total Shs'000
Liabilities					
Insurance contract liabilities	5 82,959	1,469,620	992,362	6,675,788	9,720,729
Payable under deposit administration	-	(39,382)	1,506,061	10,580,875	12,047,554
Creditors arising from reinsurance	33,265	304,178	-	-	337,443
Creditors arising from direct insurance	-	616,432	-	-	616,432
Other payables	916,343	12,466	-	-	928,809
Total financial liabilities	1,532,567	2,363,314	2,498,423	17,256,663	23,650,967
Assets					
Other receivables	335,574	-	-	-	335,574
Reinsurers' share of insurance liabilities	-	2,045,081	33,478	24,586	2,103,145
Receivables arising from reinsurance	128,733	292,101	69,157	-	489,991
Financial investment	3,658,288	1,613,015	5,969,358	7,857,495	19,098,156
Receivable arising from direct insurance	1,066,639	257,375	-	-	1,324,014
Cash and cash equivalents	4,418,875	1,832,887	-	-	6,251,762
Total financial assets	9,608,109	6,040,459	6,071,993	7,882,081	29,602,642
Net liquidity gap	8,075,542	3,677,145	3,573,570	(9,374,582)	5,951,675

5. Management of insurance and financial risk policies (continued)**e) Liquidity risk (Continued)**

31 December 2013	1 - 3 months Shs'000	3 - 12 months Shs'000	1 - 5 years Shs'000	over 5 years Shs'000	Total Shs'000
Liabilities					
Insurance contract liabilities	6,29,788	2,496,512	1,154,160	6,040,467	10,320,927
Payable under deposit administration	-	(218,257)	679,575	10,642,439	11,103,757
Creditors arising from reinsurance	42,384	472,821	-	-	515,205
Creditors arising from direct insurance	-	34,616	-	-	34,616
Other payables	901,523	11,767	-	-	913,290
Total financial liabilities	1,573,695	2,797,459	1,833,735	16,682,906	22,887,795
Assets					
Other receivables	165,715	109,552	112,582	74,024	461,873
Reinsurers' share of insurance liabilities	-	3,716,582	60,841	44,681	3,822,104
Receivables arising from reinsurance	109,712	267,470	61,984	-	439,166
Financial investment	1,191,501	3,208,503	5,566,765	5,982,307	15,949,076
Receivable arising from direct insurance	40,256	734,933	-	-	775,189
Cash and cash equivalents	5,006,269	1,446,714	-	-	6,452,983
Total financial assets	6,513,453	9,483,754	5,802,172	6,101,012	27,900,391
Net liquidity gap	4,939,758	6,686,295	3,968,437	(10,581,894)	5,012,596

Long term insurance and deposit administration contracts can be surrendered before maturity for a cash surrender value specified in the contractual terms and conditions. Prudent liquidity risk management includes maintaining sufficient cash balances to cover anticipated surrenders before the contractual maturity dates. In addition, the Group invests only a limited proportion of its assets in investments that are not actively traded. The Group's listed securities are considered readily realisable, as they are actively traded on the Nairobi Stock Exchange.

Liquidity risk - Company

Ultimate responsibility for liquidity risk management rests with the Board of Directors, which has built an appropriate liquidity risk management framework for the management of the Company's short, medium and long-term funding and liquidity management requirements. The Company manages liquidity risk by continuous monitoring of banking facilities, cash flow forecast and actual cash flows.

The table below analyses the Company's financial liabilities that will be settled on a net basis into relevant maturity Groupings based on the remaining period at the balance sheet date to the contractual maturity date.

The amounts disclosed in the table below are the contractual undiscounted cash flows:

5. Management of insurance and financial risk policies (continued)**e) Liquidity risk (Continued)**

At 31 December 2014	Less than 1 year Shs'000	Over 1 year Shs'000	Total Shs'000
Due to group companies (note 32) Borrowings	163,918	-	163,918
	-	-	-
	163,918	-	163,918
At 31 December 2013	Less than 1 year Shs'000	Over 1 year Shs'000	Total Shs'000
Due to group companies (note 32) Borrowings	115,389	-	115,389
	-	-	-
	115,389	-	115,389

Capital requirements

The Group's view is that liquidity risk has to be managed by means other than capital. If assets and liabilities are not well matched by term, even a large amount of capital may provide only a small buffer in an extreme liquidity event.

Liquidity risk is most likely to arise due to a sharp increase in benefit withdrawals or risk-related claims. The liquidity risk arising from withdrawals is largely managed by policy terms and conditions in the contract that enable the Group to reduce withdrawal benefits in the event that asset prices fall. The liquidity risk arising from risk-related claims is managed by having reinsurance arrangements in place for catastrophic events. Liquidity risks arising on maturity benefits are managed by closely monitoring the expected future maturities and realising assets in advance if large outflows are expected.

Liquidity risk is also managed by matching liabilities with backing assets that are of similar maturity, duration and risk nature. The liquidity profile of the total financial position is reviewed on a regular basis to ensure that the cash flow profile of liabilities can be met as they fall due.

As a result of the liquidity risk mitigation measures in place, the Group's exposure to liquidity risk is expected to be small and no allowance is currently made for liquidity risk.

5. Management of insurance and financial risk policies (continued)

f) Market risk

Definition

Market risk is the risk of adverse financial impact due to changes in fair values or future cash flows of financial instruments from fluctuations in equity prices, interest rates and foreign currency exchange rates (as well as their associated volatilities). In addition, in light of the Group's significant investment in investment properties, there is exposure to fluctuation in property values.

The Group's shareholders are exposed to market risk arising from policyholder asset-liability mismatch risk. This is where the Group's property and financial assets do not move in the same direction and magnitude as the obligations arising under its insurance and investment contracts.

The key components of market risk are as follows:

- **Price risk:** is the risk arising from a change in the value and/or future cash flows of an asset or liability, as a result of securities price and/or dividend changes;
- **Interest rate risk:** is the risk arising from a change in the value and/or future cash flows of an asset or liability, as a result of interest rate changes;
- **Currency risk:** is the risk arising from a change in the value and/or future cash flows of an asset or liability as a result of changes in exchange rates. This can either be in the form of a mismatch between currencies of assets and liabilities, or on assets supporting capital, or the functional currency of the local entity being different to the reporting currency of the Group; and

- **Property market risk:** is the risk arising from a change in the value and/or future cash flows of an asset or liability, as a result of changes in property market prices and/or rental income.

Risk identification, assessment and measurement

In the case of market risks which arise from shareholder funds, the risk can be identified, assessed and measured by considering the market risks that apply to the assets in which these funds have been invested.

In the case of asset-liability mismatches, risks both to the assets and corresponding liabilities need to be assessed together. The Group is exposed to market risk to the extent that these exposures may result in a loss due to the assets increasing by less than the liabilities or the assets falling by more than the liabilities.

The Group assesses its asset-liability mismatch exposures with respect to the key components of market risk at subsidiary level.

i) Price risk

The Group is exposed to equity securities price risk because of investments in quoted and unquoted shares classified as available-for-sale. The Group is not exposed to commodity price risk. To manage its price risk arising from investments in equity and debt securities, the Group diversifies its portfolio. Diversification of the portfolio is done in accordance with limits set by the Group in the Investment Policy. All quoted shares held by the Group are traded on the Stock Exchange.

5. Management of insurance and financial risk policies (continued)

f) Market risk (continued)

ii) Interest rate risk

Fixed interest rate financial instruments expose the Group to fair value interest rate risk. Variable interest rate financial instruments expose the Group to cash flow interest rate risk. The Group's fixed interest rate financial instruments are government securities and deposits with financial institutions. The Group's variable interest rate financial instruments are quoted corporate bonds.

No limits are placed on the ratio of variable rate financial instruments to fixed rate financial instruments. The Group manages its cash flow interest rate risk by diversification of its portfolio. The sensitivity analysis for interest rate risk illustrates how changes in the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates at the reporting date.

For liabilities under long-term insurance contracts with fixed and guaranteed terms, changes in interest rate will not cause a change to the amount of the liability, unless the change is severe enough to trigger a liability adequacy test adjustment. The level of the reduction of the level of interest rate that will trigger an adjustment is an interest rate of 1% (2013: 1%). Investment contracts with fixed and guaranteed terms, government securities and deposits with financial institutions held to maturity are accounted for at amortised cost and their carrying amounts are not sensitive to changes in the level of interest rates.

At 31 December 2014, if interest rates on quoted corporate bonds at that date had been 50 basis points higher/lower with all other variables held constant, post-tax profit for the period would

have been Shs1,379,330 (2013: Shs.991,021) lower/higher, mainly as a result of higher/lower interest income on floating rate quoted corporate bonds.

iii) Currency risk

The Group operates regionally and is exposed to foreign exchange risk arising from various foreign currency transactions, primarily with respect to the US dollar. Foreign exchange risk arises from reinsurance transactions with foreign reinsurance brokers. This risk is not significant and is mitigated through the use of dollar-denominated accounts. In the year ending 31 December 2014, the Group had an equivalent of Shs 7.7 Million (2013: Shs. 10.2 Million) in reinsurance balances denominated in foreign currency and foreign currency deposit accounts. The impact of normal exchange fluctuations in the Kenya and Tanzania shilling against the US dollar would not have a material effect on Groups results.

iv) Property market risk

The Group is exposed to tenant default and unlet space within its investment property portfolio affecting property values and rental income. This risk is mainly attributable to the matching policyholder liability and the shareholder exposure is mainly limited to management fees and profit margins. The managed diversity of the property portfolio and the existence of multi-tenanted buildings significantly reduce the exposure to this risk.

g) Insurance risk

Definition

Insurance risk from management's perspective is the risk that future claims (in relation to death, disability, ill health and withdrawal) and expenses will exceed the allowance for expected claims and expenses in the measurement of

Management of insurance and financial risk policies (continued)

g) Insurance risk (Continued)

policyholder liabilities and in product pricing. In addition to these insurance risks, the Group assumes further risks in relation to policyholder behaviour (including lapses and converting recurring premium policies to paid up) and tax which could have adverse impacts on the Group's earnings and capital if different from that assumed in the measurement of policyholder liabilities. From a risk management perspective, management Groups these risks under insurance risk.

Ownership and accountability

The management and staff in all subsidiaries taking on insurance risk are responsible for the day-to-day identification, management and monitoring of insurance risk. It is also management's responsibility to report any material insurance risks, risk events and issues identified to senior management through certain pre-defined escalation procedures.

The statutory actuaries and the heads of risk in the subsidiaries provide independent oversight of the compliance with the Group's risk management policies and procedures and the effectiveness of the Group's insurance risk management processes.

Risk identification, assessment and measurement

Insurance risks arise due to the uncertainty of the timing and amount of future cash flows arising under insurance contracts. The timing is specifically influenced by future mortality, longevity, morbidity, withdrawal and expenses about which assumptions are made in the measurement of policyholder liabilities and in product pricing. Deviations from assumptions will result in actual cash flows being different from those expected. As such, each assumption represents a source of uncertainty.

Experience investigations are conducted at least annually on all insurance risks to ascertain the reasons for deviations from assumptions and their financial impacts. If the investigations indicate that these deviations are likely to persist in future, the assumptions will be adjusted accordingly in the subsequent measurement of policyholder liabilities.

Insurance risks are assessed and reviewed against the risk appetite. Mitigating actions are developed for any risks that fall outside of management's assessment of risk appetite in order to reduce the level of risk to within the approved tolerance limits.

Risk management

The management of insurance risk is effectively the management of deviations of actual experience from the assumed best estimate of future experience. On the published reporting basis, earnings are expected as a result of the release of margins that have been added to the best estimate assumptions. The risk is that these earnings are less than expected due to adverse actual experience.

The statutory actuaries provide oversight of the insurance risks undertaken by the Group in that they are required to:

- report at least annually on the financial soundness of the life companies within the Group; approve policy for assumptions used to provide best estimates plus compulsory and discretionary margins
- oversee the setting of these assumptions; and
- report on the actuarial soundness of premium rates in use for new business, and the profitability of the business, taking into consideration the reasonable benefit expectations of policyholders and the associated insurance and market risks.

5. Management of insurance and financial risk policies (continued)

g) Insurance risk (Continued)

The Group makes use of reinsurance to reduce its exposures to some insurance risks.

i) Policyholder behaviour risk

Policyholder behaviour risk is the risk of loss arising due to actual policyholder behaviour being different from expected.

The primary policyholder behaviour risk is persistency risk. This arises due to policyholders discontinuing or reducing contributions or withdrawing benefits partially or in total when this is not in line with expectations. This behaviour results in a loss of future charges that are designed to recoup expenses and commission incurred early in the life of the contract and to provide a profit margin or return on capital.

Deterioration in persistency generally gives rise to a loss as the loss of these future charges generally exceeds the charges that the Group applies to the policyholder benefits in these events.

ii) Mortality and morbidity risk

Mortality risk is the risk of loss arising due to actual death rates on life assurance business being higher than expected. Morbidity risk is the risk of loss arising due to policyholder health-related claims being higher than expected. The Group has the following processes and procedures in place to manage mortality and morbidity risk:

- Premium rates are differentiated by factors which historical experience has shown are significant determinants of mortality and morbidity claim experience.
- Terms are built into the policy contracts that permit risk premiums to be reviewed on expiry of a guarantee period. Delays in implementing increases in premiums, and market or regulatory restraints over the extent of the increases may reduce their mitigating effects. Furthermore, charges can only be increased to the extent that they can be supported by gross premiums, although this is not relevant on contracts where gross premiums can be reviewed.
- Underwriting guidelines concerning authority limits and procedures to be followed are in place.
- All retail business applications for risk cover are underwritten. For smaller sums assured this process is largely automated. For retail and corporate business, larger sums assured in excess of specified limits are reviewed by experienced underwriters and evaluated against established processes. For corporate risk business, these specified limits are scheme specific based on the size of the scheme and distribution of sums assured.
- Part of the underwriting process involves assessing the health condition and family medical history of applicants. Terms and conditions are varied accordingly.
- The policy terms and conditions contain exclusions for non-standard and unpredictable risks that may result in
- severe financial loss (e.g. on life policies, a suicide exclusion applies to the sum assured for death within two years from the date of issue).
- The actual claims experience is monitored on a regular basis so that deteriorating experience can be timeously identified. Product pricing and the measurement of

5. Management of insurance and financial risk policies (continued)

g) Insurance risk (Continued)

- the liabilities is changed if the deteriorating experience is expected to continue and cannot be mitigated. Detailed mortality and morbidity investigations are conducted on a bi-annual basis, but mortality claim ratios are reviewed monthly.
- For morbidity, experienced claims assessors determine the merits of the claim in relation to the policy terms and conditions. In the case of disability annuitants, claim management ensures the continued eligibility for monthly income and includes interventions that may result in the full or
- partial medical recovery of the claimant. The actual disability experience is highly dependent on the quality of the claim assessments.
- Reinsurance arrangements are put in place to reduce the mortality and morbidity exposure per individual and provide cover in catastrophic events.

The Group views mortality and morbidity risks as risks that are core to the business.

iii) Longevity risk

Longevity risk is the risk of loss arising due to annuitants living longer than expected. For life annuities, the loss arises as a result of the Group having undertaken to make regular payments to policyholders for their remaining lives, and possibly to the policyholders' spouses for their remaining lives. The most significant risk on these liabilities is continued medical advances and improvement in social conditions that lead to longevity improvements being better than expected.

The group manages longevity risk by:

- Annually monitoring the actual longevity experience and identifying trends over time; and
- Making allowance for future mortality improvements in the pricing of new business and the measurement of policyholder liabilities – this allowance will be based on the trends identified in experience investigations and external data.

iv) Expense risk

Expense risk is the risk of loss arising due to expenses incurred in the administration of policies being higher than expected. Allowance is made for expected future expenses in the measurement of policyholder liabilities. These expected expenses are dependent on estimates of the number of in-force and new business policies. As a result, the risk of expense loss arises due to expenses increasing by more than expected as well as the number of in-force and/or new business policies being less than expected.

The group manages the expense risk by:

- regularly monitoring actual expenses against the budgeted expenses;
- regularly monitoring new business;
- regularly monitoring withdrawal rates including lapses; and
- Implementing cost control measures in the event of expenses exceeding budget or of significant unplanned reductions in in-force policies.

5. Management of insurance and financial risk policies (continued)

g) Insurance risk (Continued)

v) Tax risk

Tax risk is the risk of loss arising due to the actual tax assessed being more than the tax expected.

Allowance for tax is made in the measurement of policyholder liabilities at the rates applicable at the financial reporting date. Adjustments may be made for known future changes in the tax regime.

Experience shows that the larger the portfolio of similar insurance contracts, the smaller the relative variability about the expected outcome will be. In addition, a more diversified portfolio is less likely to be affected across the board by a change in any subset of the portfolio. The

Group has developed its insurance underwriting strategy to diversify the type of insurance risks accepted and within each of these categories to achieve a sufficiently large population of risks to reduce the variability of the expected outcome. Factors that aggravate insurance risk include lack of risk diversification in terms of type and amount of risk, geographical location and type of industry covered.

The following tables disclose the concentration of insurance liabilities by the class of business in which the contract holder operates and by the maximum insured loss limit included in the terms of the policy:

Year ended 31 December 2014 (Shs'000)			Shs 0m to Shs 15m	Shs 15m to Shs 250m	Shs 250m to Shs 1,000	Total
General insurance business						
Personal accident	Gross		1,124,534	13,363,772	3,428,899	17,917,205
	Net		1,093,529	12,727,772	2,897,899	16,719,200
Motor	Gross		24,258,930	924,447	-	25,183,377
	Net		22,314,171	924,447	-	23,238,618
Fire	Gross		37,322,550	77,139,485	566,146,242	680,608,277
	Net		37,232,426	66,894,225	14,780,987	118,907,638
Other	Gross		32,496,989	34,363,730	162,340,929	229,201,648
	Net		30,613,875	69,002,865	827,999	100,444,739
Life assurance business						
Ordinary life	Gross		22,014,895	307,165	-	22,322,060
	Net		21,639,310	-	-	21,639,310
Group life	Gross		100,341,867	52,871,038	384,964	153,597,869
	Net		77,613,210	8,873,031	3,465	86,489,706
Total	Gross		217,559,765	178,969,637	732,301,034	1,128,830,436
			190,506,521	158,422,340	18,510,350	367,439,211

5. Management of insurance and financial risk policies (continued)

g) Insurance risk (Continued)

Year ended 31 December 2013 (Shs'000)		Shs 0m to Shs 15m	Shs 15m to Shs 250m	Shs 250m to Shs 1,000	Total
General insurance business					
Personal accident	Gross	14,173,227	16,692,437	2,768,257	33,633,921
	Net	14,168,660	16,684,725	2,768,257	33,621,642
Motor	Gross	21,900,573	369,896	-	22,270,469
	Net	19,560,681	369,896	-	19,930,577
Fire	Gross	49,740,129	85,697,718	561,490,366	696,928,213
	Net	48,660,957	69,696,055	13,777,509	132,134,521
Other	Gross	30,724,737	37,603,286	169,436,956	237,764,979
	Net	31,314,452	69,647,476	3,725,066	104,686,994
Life assurance business					
Ordinary life	Gross	21,857,014	120,000	134,165	22,111,179
	Net	18,762,019	-	-	18,762,019
Group life	Gross	87,309,197	19,607,315	800,000	107,716,512
	Net	63,669,452	-	-	63,669,452
Total	Gross	225,704,877	160,090,652	734,629,744	1,120,425,273
		196,136,221	156,398,152	20,270,832	372,805,205

The concentration by sector or maximum insured loss at the end of the period is broadly consistent with the prior year.

h) Fair value hierarchy

Introduction

Fair value is the amount for which an asset could be exchanged or liability settled between knowledgeable willing parties in an arm's length transaction. IFRS 7 and IFRS 13 requires disclosure of fair value measurements by level according to the following fair value measurement hierarchies:

- Level 1 – Values are determined using readily and regularly available quoted prices in an active market for identical assets or

liabilities. These prices would primarily originate from the Nairobi Securities Exchange, or an international stock or bond exchange.

- Level 2 – Values are determined using valuation techniques or models, based on assumptions supported by observable market prices or rates either directly (that is, as prices) or indirectly (that is, derived from prices) prevailing at the balance sheet date. The valuation techniques or models are periodically reviewed and the outputs validated.

5. Management of insurance and financial risk policies (continued)

h) Fair value hierarchy (continued)

- Level 3 – Values are estimated indirectly using valuation techniques or models for which one or more of the significant inputs are reasonable assumptions (that is unobservable inputs), based on market conditions.

The following table presents the Group's assets and liabilities that are measured at fair value at 31 December 2014.

31 December 2014	Level 1 Shs'000	Level 2 Shs'000	Level 3 Shs'000	Total Shs'000
Fair value through profit and loss financial				
assets				
Quoted shares	3,830,414	-	-	3,830,414
Unquoted shares	-	-	42,341	42,341
Government securities and bonds	-	7,092,774	-	7,092,774
Investment property	-	936,000	-	936,000
Buildings	-	450,000	-	450,000
	3,830,414	8,478,774	42,341	12,351,529
31 December 2013	Level 1 Shs'000	Level 2 Shs'000	Level 3 Shs'000	Total Shs'000
Fair value through profit and loss financial				
assets				
Quoted shares	2,290,494	-	-	2,290,494
Unquoted shares	-	-	156,697	156,697
Government securities and bonds	-	5,571,197	-	5,571,197
Investment property	-	842,200	-	842,200
Buildings	-	442,000	-	442,000
	2,290,494	6,855,397	156,697	9,302,588

6. Gross earned premium revenue

	Group	
	2014 Shs' 000	2013 Shs' 000
Motor	1,314,483	1,181,519
Fire	1,562,197	1,546,051
Personal accident and Medical	1,888,025	1,503,294
Retail Life	1,417,698	1,190,996
Group life	609,907	492,141
Others	1,244,604	1,483,981
	8,036,914	7,397,982

7. Investment income

	Group		Company	
	2014 Shs' 000	2013 Restated Shs' 000	2014 Shs' 000	2013 Shs' 000
Interest from Government securities	1,225,948	1,090,663	-	-
Interest on bank deposits	498,697	462,563	-	-
interest from corporate bonds and commercial paper	216,550	182,665	-	-
Interest on loans and receivables	33,157	34,785	-	-
Rental income from investment property	111,454	94,546	-	-
Gain on sale of financial investments	203,421	459,099	-	-
Fair value gain on investment property	154,432	189,682	-	-
Interest on policy loans	89,086	99,241	-	-
Dividend income	96,664	321,362	230,000	200,000
Others	338,845	(305,087)	-	-
	2,968,254	2,629,519	230,000	200,000

The Company's dividend income of Shs 230 million (2013: Shs 200 million) was earned from the subsidiaries in the year.

8. Other (expense)/ income

	Group	
	2014 Shs' 000	2013 Shs' 000
Profit on sale of property, plant and equipment	-	13
Profit from Kenya Motor Insurance Pool	960	2,443
Foreign exchange gain	-	5,744
Miscellaneous(expense)/ income	694	374
Loss on sale of investment in associate	(42,182)	-
	(40,528)	8,574

9. Claims and other policy holder benefits payable

	Group	
	2014 Shs' 000	2013 Shs' 000
Motor	581,815	590,576
Fire	(1,011,966)	4,795,523
Personal accident and Medical	260,251	775,785
Death, maturity and surrender benefits	1,031,418	744,907
Interest payable on deposit administration contracts	882,325	832,683
Others	707,138	348,532
	2,450,981	8,088,006

Heritage Insurance Company Tanzania Limited previously over-estimated claim provisions which therefore reduced the current year Fire claims expense significantly resulting in a recovery at the gross level.

10. Finance costs

	Group		Company	
	2014 Shs' 000	2013 Shs' 000	2014 Shs' 000	2013 Shs' 000
Interest on financial liabilities at amortised cost	-	25,512	-	25,512
	-	25,512	-	25,512

11. Other operating expenses

	Group		Company	
	2014 Shs' 000	2013 Shs' 000	2014 Shs' 000	2013 Shs' 000
Staff costs (Note 12)	1,038,321	1,014,408	-	-
Auditor's remuneration	16,500	16,156	2,200	2,447
Depreciation (Note 20)	92,174	100,400	-	-
Amortisation of intangible assets (Note 22)	11,211	19,803	-	-
Impairment charge for doubtful receivables	67,514	9,646	-	-
Operating lease rental - land and buildings	164,957	82,203	-	-
Directors' fees	18,066	17,882	2,714	4,352
Repairs and maintenance	31,599	26,259	-	-
Advertising	115,436	127,157	-	-
Legal and other professional fees	72,424	57,893	8,852	2,643
Others	959,935	664,316	46,842	9,444
	2,588,137	2,136,123	60,608	18,886

12. Staff cost

	Group	
	2014 Shs' 000	2013 Shs' 000
Employee benefits expense includes the following:		
Salaries and wages	744,594	778,145
Social security benefit costs	47,559	36,610
Retirement benefit cost	9,985	20,090
Other	236,183	179,563
	1,038,321	1,014,408

The number of persons employed by the Group at the end of the year was 366 (2013: 372).

13. Investment in subsidiaries and associates

	Group	
	2014 Shs' 000	2013 Shs' 000
As at 1 January	70,041	61,948
Additions to Strategis Insurance (Tanzania) Limited shares	-	9,979
Share of profit/(loss) after tax	9,918	(7,387)
Share of Fair Value Reserve	-	5,528
Disposal of investments in Strategis Insurance (Tanzania) Limited.	(80,069)	-
Currency adjustment	110	(27)
As at 31 December	-	70,041

The disposal of the Group's interest in Strategis Insurance (Tanzania) Limited in 2014 realised a loss of Shs. 80,069,000.

The summarised financial information of the Associates is as follows:

31 December 2014	Total Assets Shs'000	Total Liabilities Shs'000	Revenue Shs'000	Loss after tax Shs'000	% interest Held Shs'000
Strategis Insurance (Tanzania) Limited	-	-	-	-	-
31 December 2013	Total Assets Shs'000	Total Liabilities Shs'000	Revenue Shs'000	Loss after tax Shs'000	% interest Held Shs'000
Strategis Insurance (Tanzania) Limited	197,674	96,668	179,664	(17,163)	43.04%

Subsidiaries

The Company's interest in its subsidiaries, all of which are unlisted and all of which have the same year end as the Company, were as follows:

13. Investment in subsidiaries and associates (continued)

			Company	
			2014 Shs'000	2013 Shs'000
Liberty Life Assurance Kenya Limited	100%	Kenya	1,826,254	1,826,254
The Heritage Insurance Company (K) Limited	100%	Kenya	741,287	741,287
The Heritage Insurance Company (T) Limited	60%	Tanzania	-	-
Azali Limited	100%	Kenya	-	-
CfC Investments Limited	100%	Kenya	634,792	634,792
			3,202,333	3,202,333

14. Income tax expense

	Group	
	2014 Shs' 000	2013 Shs' 000
Current income tax	262,538	189,080
Over-provision of deferred tax in prior years	(25,332)	-
Deferred income tax (note 30)	(39,622)	3,862
	197,584	192,942

The tax on the Group's profit before tax differs from the theoretical amount that would arise using the statutory tax rate as follows:

14. Income tax expense (continued)**Reconciliation of income tax expense to tax based on accounting profit**

	Group	
	2014 Shs' 000	2013 Shs' 000
Profit before income tax	1,346,568	1,298,862
Tax at statutory tax rate of 30% (2013- 30%)	403,970	389,659
Tax effect of:		
Income not subjected to tax	(227,487)	(237,930)
Prior year tax under/(over) provision	(25,332)	-
Expenses not deductible for tax purposes	56,351	38,997
Income from associates	(9,918)	2,216
Income tax expense	197,584	192,942

There was no tax charge relating to components of other comprehensive income.

15. Earnings per share

Basic earnings per share have been calculated by dividing the net profit for the year by the weighted average number of ordinary shares in issue during the year.

	Group		Company	
	2014 Shs' 000	2013 Shs' 000	2014 Shs' 000	2013 Shs' 000
Earnings for the purpose of basic earnings per share	1,148,985	1,105,920	169,392	155,602

Number of shares				
Weighted average number of ordinary shares for the purpose of basic earnings per share (in thousands)	535,707	515,270	535,707	515,270
Earnings per share (Shs) basic and diluted	2.14	2.15	0.32	0.30

There were no potentially dilutive shares outstanding as at 31 December 2014 or 2013. Diluted earnings per share are therefore the same as basic earnings per share.

16. Ordinary share capital and share premium**Ordinary share capital**

	Authorised number of shares	Issued number of shares	Ordinary share capital Shs.	Nominal value per share (Shs)
As at 1 January 2014	515,270,364	515,270,364	515,270,364	1
Additional shares due to scrip issue	20,437,135	20,437,135	20,437,135	
As at 31 December 2014	535,707,499	535,707,499	535,707,499	1

Share premium

	Group 2014 Shs' 000	Company 2013 Shs' 000
As at 1 January	1,185,969	1,701,239
Proposed dividend	-	(515,270)
Share Capital bonus Issue	304,511	-
As at 31 December	1,490,480	1,185,969

17. Revenue and other reserves

	Group		Company	
	2014 Shs' 000	2013 Shs' 000	2014 Shs' 000	2013 Shs' 000
Statutory reserve	589,425	176,180	-	-
Revaluation reserve	126,578	120,979	-	-
Currency translation reserve	(38,152)	(30,842)	-	-
Total other reserves	677,851	266,317	-	-
Revenue reserve	3,070,838	2,607,295	1,021,904	852,512
Proposed dividend	-	-	-	-
At end of year	3,748,689	2,873,612	1,021,904	852,512

17. Revenue and other reserves (continued)

Other reserves include fair value reserve arising from revaluation surplus on buildings and freehold land, which is a non-distributable reserve, and statutory reserve. Currency translation reserve represents exchange rate differences arising on the translation of the foreign subsidiary. Statutory reserve represents:

- a) Accumulated surpluses from the life fund whose distribution is subject to the restrictions imposed by the Kenyan Insurance Act. The Insurance Act limits the amounts of surpluses of the life business available for distribution to shareholders to 30% of the accumulated surplus of the life business. A transfer to or from retained earnings is recorded each year to ensure that only amounts available for distribution to shareholders are held in the retained earnings.
- b) A contingency reserve is maintained by the Tanzania subsidiary as required by the Tanzania Insurance Act. The reserve is calculated annually as the greater of 3% of net written premium or 20% of the net profit. This reserve shall accumulate until it reaches the minimum paid-up share capital or 50% of the net premiums, whichever is greater.

Proposed dividends

The Directors recommend a dividend per share of Shs 0.40 (2013: Shs 1).

18. Goodwill

	Group	
	2014 Shs' 000	2013 Shs' 000
Cost		
As at 1 January	1,254,995	1,254,995
As at 31 December	1,254,995	1,254,995

During the year, the Group assessed the recoverable amount of goodwill and determined that goodwill associated with the life and general insurance businesses was not impaired. The recoverable amount of the businesses was assessed by reference to the Cash Generating units' value in use which takes into account projected cash flows for the Group entities which are referenced to the respective entities' budgets. A discount factor of 17.6% (estimate of parent company's cost of capital) was applied in the valuation.

19. Financial investments

Financial investments	Group	
	2014 Shs'000	2013 Shs'000
a) Financial investments-held-to-maturity (HTM)	6,446,368	6,494,874
b) Fair value through profit or loss financial assets	10,965,529	8,018,388
c) Loans and receivables	1,686,259	1,435,814
	19,098,156	15,949,076

a) Held-to-maturity

Treasury bills and bonds:	Group	
	2014 Shs'000	2013 Shs'000
Short term	1,263,920	237,144
Long term	5,182,448	6,257,730
	6,446,368	6,494,874

Maturity analysis	Group	
	2014 Shs'000	2013 Shs'000
Maturing within 1 year	889,960	1,256,740
Maturing after 1 year but within 5 years	2,942,931	2,398,373
Maturing after 5 years but within 10 years	1,575,064	1,569,155
Maturing after 10 years	1,038,413	1,270,606
	6,446,368	6,494,874

Held-to-maturity movement analysis	Group	
	2014 Shs'000	2013 Shs'000
As at 1 January	6,494,874	7,730,557
Additions	1,055,332	60,000
Maturities	(1,103,838)	(1,304,720)
Currency adjustment	-	9,037
As at 31 December	6,446,368	6,494,874

19. Financial investments (continued)

b) Financial assets at fair value through profit or loss

	Group	
	2014 Shs' 000	2013 Shs' 000
i) Quoted shares	3,830,414	2,290,494
ii) Unquoted shares	42,341	156,697
iii) Government securities	7,092,774	5,571,197
	10,965,529	8,018,388

i) Quoted shares

	Group	
	2014 Shs' 000	2013 Shs' 000
As at start of year	2,290,494	1,130,472
Additions	1,624,386	988,012
Disposals	(265,867)	(240,283)
Net fair value gains	192,572	411,335
Currency translation	(11,171)	958
As at end of year	3,830,414	2,290,494

ii) Unquoted shares

	Group	
	2014 Shs' 000	2013 Shs' 000
As at start of year	156,697	212,172
Additions	19,275	-
Disposals	(132,428)	(54,630)
Net fair value losses	(1,203)	(1,113)
Currency translation	-	268
As at end of year	42,341	156,697

19. Financial investments (continued)

iii) Government securities

	Group	
	2014 Shs' 000	2013 Shs' 000
As at start of year	5,571,197	3,826,544
Additions	3,280,718	3,712,290
Disposals	(1,771,193)	(2,007,336)
Fair value gains	12,052	39,699
As at end of year	7,092,774	5,571,197

As at 31 December 2014, Liberty Life Assurance Limited had a total of Shs 1,077,413,066 (2013: Shs. 1,533,427,507) of government securities classified as held-to-maturity held under lien by the Central Bank of Kenya.

As at 31 December 2014, Heritage Insurance Kenya Company Limited had a total of Shs 300 million (2013: Shs 250 million) of government securities held under lien with the Insurance Regulatory Authority.

c) Loans and receivables

	Group	
	2014 Shs' 000	2013 Shs' 000
Mortgage loans	674,797	565,352
Policy loans	876,943	754,199
Other loans and deposits maturing after 90 days	134,519	116,263
	1,686,259	1,435,814

20. Property and Equipment

	Buildings on leasehold land	Motor vehicles	Furniture and equipment	Computer equipment	Total
Cost / valuation	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
As at 1 January 2014	773,199	63,740	723,012	282,651	1,842,602
Additions	-	9,551	45,957	3,540	59,048
Disposals	-	(1,872)	(467)	-	(2,339)
Reclassification from investment property (Note 21)	3,632	-	-	-	3,632
Revaluation gain	8,000	-	-	-	8,000
Currency adjustment	-	(837)	(3,197)	-	(4,034)
As at 31 December 2014	784,831	70,582	765,305	286,191	1,906,909
Depreciation					
At 1 January 2014	3,905	45,610	489,819	218,367	757,701
Charge for the year	-	11,794	71,224	9,156	92,174
Disposals	-	(1,872)	(457)	-	(2,329)
Currency adjustment	-	(1,198)	(3,111)	-	(4,309)
As at 31 December 2014	3,905	54,334	557,475	227,523	843,237
Net book amount					
As at 31 December 2014	780,926	16,248	207,830	58,668	1,063,672

There were no items of property and equipment pledged by the Group to secure liabilities. Buildings were revalued as at 31 December 2014 by Tysons Limited, Lloyd Masika Limited and Kenya Valuers & Estate Agents Limited, independent valuers, on the basis of the market value for existing use. The resultant revaluation surplus was credited to the revaluation reserve.

20. Property and Equipment (continued)

	Buildings on leasehold land	Motor vehicles	Furniture and equipment	Computer equipment	Total
Cost / valuation	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
As at 1 January 2013	725,732	69,099	695,642	274,287	1,764,760
Additions	8,045	-	28,411	8,228	44,684
Disposals	(1,769)	(5,396)	(2,949)	(164)	(10,278)
Reclassification from investment property (Note 21)	2,931	-	-	-	2,931
Revaluation gain	38,260	-	-	-	38,260
Currency adjustment	-	37	1,908	300	2,245
Other transfers	-	-	-	-	-
As at 31 December 2013	773,199	63,740	723,012	282,651	1,842,602
Depreciation					
As at 1 January 2013	946	37,818	419,197	209,200	667,161
Charge for the year	4,595	13,161	73,324	9,320	100,400
Disposals	(1,636)	(5,395)	(2,828)	(153)	(10,012)
Currency adjustment	-	26	126	-	152
As at 31 December 2013	3,905	45,610	489,819	218,367	757,701
Net book amount					
As at 31 December 2013	769,294	18,130	233,193	64,284	1,084,901

21. Investment property

	Group	
	2014 Shs' 000	2013 Shs' 000
As at January	842,200	710,449
Disposal	(57,000)	(55,000)
Reclassification to property and equipment (Note 20)	(3,632)	(2,931)
Net gain from fair value adjustments	154,432	189,682
As at 31 December	936,000	842,200

Investment properties are stated at fair value. This has been determined based on independent valuations performed by Lloyd Masika Limited, Tysons Limited and Kenya Valuers & Estate Agents Limited (professional valuers) as at 30 November for Liberty Life and 31 December 2014/15 for Heritage Insurance Company Kenya Limited. The fair values represent the amount at which the assets could be exchanged between knowledgeable willing buyer and seller at an arm's length transaction at the date of the valuation. The valuations are performed on an annual basis and the fair value gains and losses are recognised as investment gains in the income statement. The investment property rental income earned by the Group from its investment property leased out under operating leases as at 31 December 2014 amounted to Shs 57 million (2013: Shs 55 million).

22. Intangible assets

	Group	
	2014 Shs' 000	2013 Shs' 000
Cost		
As at 1 January	380,718	376,338
Additions	30,446	4,285
Other (write off unrecoverable tax credits on admin system)	(34,175)	-
Currency adjustment	108	95
As at 31 December	377,097	380,718
Amortisation		
As at 1 January	328,742	308,939
Charge for the year	11,211	19,805
As at 31 December	339,953	328,742
Net book amount as at 31 December	37,144	51,976

23. Reinsurers' share of insurance liabilities

	Group	
	2014 Shs' 000	2013 Shs' 000
Reinsurers' share of:		
Unearned premium	1,328,346	1,489,900
Notified claims outstanding	678,508	1,950,573
Claims incurred but not reported	96,291	381,631
	2,103,145	3,822,104

Amounts due from reinsurers in respect of claims already paid by the Group on contracts that are reinsured are included in reinsurance receivables on the statement of financial position.

24. Cash and cash equivalents

	2014 Shs' 000	2013 Shs' 000	2014 Shs' 000	2013 Shs' 000
Cash at bank and in hand	494,552	438,641	77,610	37,223
Short term bank deposits (maturing within 90 days)	5,757,210	6,014,342	-	-
Cash and cash equivalents	6,251,762	6,452,983	77,610	37,223

25. Insurance contract liabilities

	Group	
	2014 Shs' 000	2013 Shs' 000
Short-term (non-life) insurance contracts		
Reported claims and claims handling expenses	1,879,275	3,140,701
Claims incurred but not reported	241,774	621,705
Long term insurance contracts		
Reported claims and claims handling expenses	227,918	192,056
Actuarial value of long term liabilities	7,371,762	6,366,465
	9,720,729	10,320,927

Short term insurance contracts

The Group uses Bornehuetter Fergusson (BF) technique to estimate the ultimate cost of claims for the Incurred But Not Reported (IBNR) provision. The BF method recognizes the occasional limitation of the Chain Ladder in using the actual claims paid or reported only but also takes into account the loss ratios of the business classes to provide an additional indication of the expected ultimate claims. As the data is still sparse and not fully matured for the various classes of business, basic Chain Ladder will be rather volatile. BF was therefore recommended to provide a more stable statistical estimate of the liabilities for the IBNR provisions.

The latest valuation of IBNR was carried out by Ernst & Young as at 31 December 2014.

25. Insurance contract liabilities (continued)**(ii) Long term insurance contracts**

The Group determines its liabilities on the long-term insurance contracts on a realistic basis, namely the Gross Premium Valuation (GPV) method.

The GPV method makes explicit assumptions on expected future deaths, investment returns, lapses, expenses and bonuses as well as margins for uncertainty on these assumptions. Assumptions used are based on recent experience investigations conducted by the company while taking into consideration prior year assumptions and the outlook of future experience.

The liabilities are determined by the Group on the advice of the consulting actuary and actuarial valuations are carried out on an annual basis. The latest actuarial valuation of the Group's life fund was undertaken as at 31 December 2014 by the consulting actuaries – QED Actuaries and Consultants (Pty) Limited.

Valuation assumptions:

The significant valuation assumptions for the actuarial valuation as at 31 December 2014 are summarised below.

i) Mortality

The GPV basis uses 100% of the SA85/90 ultimate mortality table plus an AIDS allowance of 100% of the AB1 Select and Ultimate tables (2008 ASSA model). Mortality assumption is based on recent mortality investigation conducted by the company while taking into consideration prior year assumptions and the outlook of future experience.

For Group Life contracts which are only valued as an IBNR, there is a mitigating effect of changing premium rates on an annual basis as contracts are

reviewed annually and no mortality guarantees are offered.

ii) Investment returns

The GPV actuarial valuation as at 31 December 2014 used an expected future investment return of 12.7% compounded annually for individual long term insurance contracts and annuity business. On the GPV basis the valuation interest rate assumption allows for a margin over the expected future investment return, hence strengthening the prudence in the GPV valuation basis.

The weighted average rate of return on a Fair Value basis as earned by the assets backing the life fund for the year ended 31 December 2014 was 12.28% p.a. (2013: 10.62% p.a.) and the average over the last three years was 9.06% p.a.

iii) Expenses and expense inflation

The current level of management expenses is taken to be an appropriate expense base for the GPV basis. The expense assumption is derived from the recent expense investigation. The purpose of the investigation was to split of expenses between initial and renewal expenses. The result of the investigation showed that the initial and renewal expenses decreased in real terms comparative to prior year.

For the GPV basis an appropriate assumption is made on the increase of renewal expenses. An expense inflation of 9.0% (2013: 9.2%) is assumed.

iv) Withdrawals

The GPV method allows assumptions to be set on the rate of termination of an insurance contract following a failure to pay premiums (lapse) or the voluntarily termination before the insurance contract maturity (surrender) per policy year.

25. Insurance contract liabilities (continued)

The withdrawal assumption is derived from recent withdrawal experience investigation conducted by the company while taking into consideration prior year assumptions and the outlook of future experience.

(v) Sensitivity analysis

The sensitivity of the GPV results has been tested to certain key assumptions by calculating the effect of assumptions not being met. The results of the sensitivity analysis (in KShs'000) can be summarized as follows:

	Kshs'000	% Change
Main basis	19,419,317	-
Expenses plus 10%	19,568,021	0.8%
Mortality and other claim experience plus 10%	19,436,391	0.1%
Interest rate less 1%	19,558,204	0.7%
Expense inflation plus 1%	19,472,375	0.3%
Withdrawals plus 10%	19,369,817	(0.3%)

As can be seen from the above table, the valuation results depend on the assumptions made. If these assumptions are not realized in practice, then the surplus in the Life Fund would differ from that expected.

It should be noted that the sensitivity calculations have been done independently. This means that interactions between various factors have not been considered. For instance, in the event of withdrawals increasing, it is likely that per policy expenses will also increase. Thus, when considering various scenarios, one needs to use an interplay of the above figures. This has not been allowed for in the above analysis.

26. Amounts payable under deposit administration contracts

	Group	
	Kshs'000	% Change
As at 1 January	11,103,757	10,465,499
Pension fund deposit received	1,733,220	1,722,239
Surrenders and annuities paid	(1,671,605)	(1,916,665)
Interest payable to policy holders	882,182	832,684
As at 31 December	12,047,554	11,103,757

27. Unearned premiums reserve

This reserves represents the liability for short term business contracts where the Group's obligations are not expired at the year end. Movement in the reserve are shown below:

b) Deferred tax liability	Group	
	Kshs'000	% Change
As at 1 January	2,664,554	2,325,273
Increase in the year	155,633	329,261
Currency adjustment	(51,952)	10,020
As at 31 December	2,768,235	2,664,554

28. Other liabilities

	Group		Company	
	2014 Shs' 000	2013 Shs' 000	2014 Shs' 000	2013 Shs' 000
Amounts due to related Companies	62,071	76,164	163,918	115,389
Accrued expenses	321,615	293,254	67,934	-
Other liabilities	545,123	543,872	-	55,146
	928,809	913,290	231,852	170,535

29. Contingent liabilities and commitments

As is common with the insurance industry in general, the Group is subject to litigation arising in the normal course of insurance business. The Directors are of the opinion that this litigation will not have a material effect on the financial position or profits of the Group.

Capital commitments

Capital expenditure on property and equipment contracted for at the reporting date amounted to Shs 10.5 million. (2013: Shs 40.7 million)

	2014 Expected expenditure Shs'000	2013 Expected expenditure Shs'000
Policy Administration Software - PAS	10,524	27,980
Financial Management System - SAP	-	12,752
	10,524	40,732

Operating lease commitments

The Group leases various outlets under non-cancellable operating lease. The lease terms are between 1 and 5 years, and the majority of the lease agreements are renewable at the end of the lease period at market rates.

30. Deferred income tax

Deferred income tax is calculated, in full, on all temporary differences under the liability method using a principal tax rate of 30% (2013: 30%). The movement on the deferred income tax account is as follows:

a) Deferred tax asset	Group	
	2014 Shs' 000	2013 Shs' 000
As at start of year	65,037	50,119
(Credit)/Charge to profit or loss	39,622	(3,862)
Charge to equity	3,417	18,780
As at 31 December	108,076	65,037

2014:

	1 January 2014 Shs' 000	Credit/ (Charge) to IS Shs' 000	Credit/ (Charge) to equity Shs' 000	31 December 2014 Shs' 000
Property and equipment	10,870	5,938	-	16,808
Other provisions	67,253	33,684	3,417	104,354
Fair value gains	(13,363)	-	-	(13,363)
Currency translation	277	-	-	277
Net deferred tax asset	65,037	39,622	3,417	108,076

2013:

	Group		Company	
	1 January 2013 Shs' 000	Credit/ (Charge) to IS Shs' 000	Credit/ (Charge) to equity Shs' 000	31 December 2013 Shs' 000
Property and equipment	9,206	1,664	-	10,870
Other provisions	54,172	(5,613)	18,694	67,253
Fair value gains	(13,363)	-	-	(13,363)
Currency translation	104	87	86	277
Net deferred tax asset	50,119	(3,862)	18,780	65,037

30. Deferred income tax (continued)

b) Deferred tax liability	Group	
	2014 Shs' 000	2013 Shs' 000
As at 1 January	352,214	340,736
Charge to profit or loss	189,673	11,478
As at 31 December	541,887	352,214

31. Cash generated from operations**Reconciliation of profit before tax to cash generated from operation:**

b) Deferred tax liability	Group	
	2014 Shs' 000	2013 Shs' 000
Profit before income tax	1,346,569	1,298,862
Interest income	(2,063,438)	(1,869,917)
Depreciation (Note 20)	92,174	100,400
Amortisation of intangible assets (Note 22)	11,211	19,803
Gain on sale of property and equipment	(101)	-
Assets write off	34,175	-
Revaluation gain on building on leasehold land	(8,000)	(38,260)
Share of income from associate (Note 13)	(9,918)	7,387
Fair value gain on investment property (Note 21)	(154,432)	(189,682)
Proceed from disposal of associates	79,969	-
Dividend and rental income	(208,118)	(415,908)
Other net investment expenses	(105,757)	302,755
Finance costs	-	25,512
Gain on sale financial investments	(203,421)	(449,921)
Change in;		
-technical provisions	1,955,730	1,782,021
-trade and other payables	15,518	(115,660)
-trade and other receivables	126,299	526,945
	908,460	984,337

31. Cash generated from operations (continued)

	Group	
	2014 Shs' 000	2013 Shs' 000
Profit before taxation	169,392	155,602
Change in :		
-trade and other payables	61,317	12,884
-trade and other receivables	-	500,000
	230,709	668,486

32. Related party transactions

The Group is controlled by Liberty Holdings Limited incorporated in the Republic of South Africa. The ultimate parent of Liberty Holdings Limited is Standard Bank Group Limited, which is incorporated in South Africa. There are other companies which are related to Liberty Kenya Holdings Limited through common shareholdings or common directorships.

The following transactions were carried out with related parties:

a) Gross premiums written	Group	
	2014 Shs' 000	2013 Shs' 000
CfC Stanbic Bank Limited.	284,888	280,702
Strategis Insurance Tanzania Limited.	4,529	45,881
STANLIB Kenya Limited.	7,322	9,292
	296,739	335,875

b) Claims incurred	Group	
	2014 Shs' 000	2013 Shs' 000
CfC Stanbic Bank Limited	117,777	125,799
Strategis Insurance Tanzania Limited.	47,862	-
STANLIB Kenya Limited.	1,023	4,333
	166,662	130,132

c) Rental income	Group	
	2014 Shs' 000	2013 Shs' 000
CfC Stanbic Bank Limited.	7,492	7,950
STANLIB Kenya Limited.	6,205	6,205
	13,697	14,155

32. Related party transactions (continued)

	Group		Company	
	2014 Shs' 000	2013 Shs' 000	2014 Shs' 000	2013 Shs' 000
d) Interest income				
CfC Stanbic Bank Limited.	45,723	96,467	-	
	45,723	96,467	-	-

	Group		Company	
	2014 Shs' 000	2013 Shs' 000	2014 Shs' 000	2013 Shs' 000
e) Dividend income				
The Heritage Insurance Company Kenya Limited.	-	-	230,000	200,000
	-	-	230,000	200,000

	Group	
	2014 Shs' 000	2013 Shs' 000
f) Investment management expenses		
STANLIB Kenya Limited.	81,490	80,950
	81,490	80,950

	Group	
	2014 Shs' 000	2013 Shs' 000
g) Outstanding balances with related parties		
i) Accounts receivable		
Strategis Insurance Tanzania Limited.	758	432
STANLIB Kenya Limited.	6,482	7,368
CfC Stanbic Bank Limited.	-	4,351
Liberty Life Assurance Uganda Limited.	4,641	4,159
Liberty Health (RSA) Limited.	1,765	636
Mac Group Limited.	-	173,653
	13,646	190,599

32. Related party transactions (continued)

Outstanding balances with related parties (continued) ii) Accounts payable	Group		Company	
	2014 Shs' 000	2013 Shs' 000	2014 Shs' 000	2013 Shs' 000
CfC Stanbic Bank Limited.	12,042	16,299	-	-
Liberty Life Assurance Kenya Limited.	-	17,477	55,127	-
CfC Investments Limited.	-	-	106,669	106,669
The Heritage Insurance Company Kenya Limited.	-	-	2,122	8,720
STANLIB Kenya Limited.	6,056	2,165	-	-
CfC Stanbic Holdings Limited.	-	-	-	-
Liberty Africa Holdings Limited.	43,973	40,223	-	-
	62,071	76,164	163,918	115,389

These amounts are unsecured and have no specific repayment period

h) Financial investments	Group		Company	
	2014 Shs' 000	2013 Shs' 000	2014 Shs' 000	2013 Shs' 000
CfC Stanbic Bank Limited balances and deposits	516,651	548,505	69,931	-
CfC Stanbic Bank Limited corporate bonds	163,962	349,864	-	-
CfC Stanbic Holdings Limited equity investments	35,697	23,316	-	-
	716,310	921,685	69,931	-

i) Key management compensation	Group		Company	
	2014 Shs' 000	2013 Shs' 000	2014 Shs' 000	2013 Shs' 000
Salaries and other employment benefits	229,498	277,502	-	-
	229,498	277,502	-	-

	Group		Company	
	2014 Shs' 000	2013 Shs' 000	2014 Shs' 000	2013 Shs' 000
Fees for services as a director	18,066	17,882	2,714	4,352
	18,066	17,882	2,714	4,352

Shareholding

i) Top ten shareholders

	Number of shares held	Shareholding %
1. Liberty Holdings Limited	309,333,535	57.74%
2. African Liaison and Consultants Services Limited	156,010,966	29.12%
3. Sovereign Trust Limited	15,303,989	2.86%
4. Standard Chartered Nominees Non-RESA A/c 9866	10,494,400	1.96%
5. Archer and Wilcock Nominees Limited	6,490,959	1.21%
6. The Government of Kenya	4,602,008	0.86%
7. Standard Chartered Nominees Non A/C KE 22446	1,990,600	0.37%
8. Standard Chartered Nominees Non A/C KE 22816	1,486,700	0.28%
9. Standard Chartered Nominees Non A/C KE 001958	1,475,500	0.28%
10. CFC Stanbic Nominees Ltd A/C 1030653	1,237,705	0.23%

ii) Distribution of shareholding

	Number of shares held	Number of shares held	Shareholding %
1-500	1,833	322,516	0.0602%
501-5,000	1,833	3,075,900	0.5742%
5,001-10,000	466	3,449,852	0.6440%
10,001-100,000	423	10,984,236	2.0504%
100,001-1,000,000	34	9,448,633	1.7638%
Over 1,000,000	10	508,426,362	94.9075%
Total	4,599	535,707,499	100%

To: The company secretary
Liberty Kenya Holdings Limited
P.O. Box 30390 - 00100
Nairobi

PROXY FORM

I/We _____

of P O BOX _____

being a member of LIBRTY KENYA HOLDING LIMITED here appoint

of _____

of failing him _____

of _____

as my/ our proxy to vote on my/ our behalf at the Annual General Meeting of the Company to be held on Thursday 11th June 2015 and at any adjournment thereof.

Date this _____ day of _____ 2015

Signed _____

Name _____

NOTE: The Proxy form should be completed and returned to the Company Secretary not later than 48 hours before the meeting or any adjournment thereof.

Notes

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